After Liberalization: Belief Shock, Real Deindustrialization, and the Roots of Anti-globalization Politics

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October 17, 2026

Abstract

Why has globalization, especially free trade, become harder to sustain in its maturity than in its rise? I argue that one central driver is a belief shock among elites, whose support for trade openness rests on the expectation that trade rewards national strength. This strength, or comparative advantage, is a claim about where liberalization settles, not whether that settlement endures. As globalization matures, fragmented production, technology diffusion, and state-backed policy choices can all erode incumbent advantage. The resulting *expectation mismatch* deteriorates openness belief: trade no longer reads as legitimizing openness; elites reinterpret it as unfair, causing real deindustrialization, and politically unsustainable. I test this theory in the context of U.S. trade policy, with mechanism support from two historical trade-conflict cases and Congressional speeches (1981-2024). Protection concentrates in advantage sectors facing imminent threat, broadening as the threat turns systemic. Contemporary anti-globalization is not simply the politics of displaced losers, but of *threatened winners*, undermining the political sustainability of trade openness. The paper offers broad implications for regime-level preference change and cooperation.

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1 Introduction

Why has globalization, especially free trade, become harder to sustain in its maturity than in its rise? Skepticism toward trade openness has intensified across countries and, in the United States, spread across party lines: Republicans who once defended liberalization now support broad tariffs and industrial policy, with Democrats converging on the same instruments. The European Union has imposed tariffs on Chinese electric vehicles,[1] while Mexico has raised duties to protect industries its development relied on.[2]

This is puzzling because elites worldwide once believed in economic liberalization. President Clinton, for example, famously described globalization as "a force of nature like wind or water" (Clinton 2000), while President George W. Bush praised free trade as "the greatest engine of prosperity the world has ever known" (Bush 2008).

Existing accounts of trade backlash primarily focus on constituent pressure, especially "loser politics"(Autor et al. 2020; Colantone and Stanig 2018; Broz et al. 2021; Grossman and Helpman 1994). Work on trade attitudes explains who supports openness (Hiscox 2002; Hainmueller and Hiscox 2006; Mayda and Rodrik 2005; Scheve and Slaughter 2001). Neither explains the agency, since recent restrictions were driven more by policymakers from the top down; nor the timing and degree, since the sharpest shift arrived long after painful adjustments and moved toward abandoning free trade. Accounts of elite cue explain how trade skepticism spreads (Ballard-Rosa et al. 2024; Guisinger 2017), but not why elites revised their long-held positions. Security and strategic accounts explain why states restrict certain trade (Carnegie and Gaikwad 2022; Farrell and Newman 2019), which typically creates exceptions to free trade rather than internal contradictions and skepticism.

The paper proposes an elite-level theory, shifting the focus from constituencies widely studied in the literature to *elites* who not only feel electorate pressure but also act on ideas and beliefs (Blyth 2002; Goldstein 1993; Hall 1993; Krasner 1978; Putnam 1988).[3] I argue

[1] European Commission, 2024

[2] Government of Mexico, 2023.

[3] By elites, I refer to those who make national policies as opposed to those who represent local interests,

that recent trade backlash intensifies not simply because of displaced workers, which often results in managed transitions such as trade adjustment assistance (TAA). It intensifies when trade erodes the *belief* in trade openness that sustains elite support in the first place.[4] This belief is that trade openness would reward a country's comparative advantage, with losing disadvantage as the necessary cost. When elites infer that trade openness threatens perceived advantages, the resulting *expectation mismatch* deteriorates that belief. This can trigger top-down, sometimes preemptive reactions deviating from openness, which contrasts sharply with loser politics and is not reduced to security or strategic concerns.

The argument rests on comparative advantage – the relative productive strength – which has fundamentally anchored both theories and political support among elites for trade openness (Baldwin 2016; Costinot et al. 2015; Samuelson 2004). Most trade(-politics) models describe the period – which I refer to as *during liberalization* – in which an economy moves from autarky toward a trade equilibrium. The expectation is that advantage sectors would expand, export, and sustain national competitiveness, while disadvantage sectors contract. Even trade distortions are usually politically inert if they appear to speed up the reallocation.

Often overlooked, however, comparative advantage is dynamic and can erode (Krugman 1987; Rodríguez and Rodrik 1999). My theory builds on this possibility that leads to distinctive political consequences. Comparative advantage specifies where liberalization settles, not whether the settlement endures. Contrasting with existing literature, I define the *after liberalization* period, in which the initial reallocation has stabilized. However, technological diffusion, incomplete adjustment, and state-backed policy choices can continue to erode sectors perceived as national advantage. An economy now risks genuine deindustrialization, and trade compensation that may otherwise work becomes less viable. Trade distortions no longer appear politically ignorable: the result is an *expectation mismatch* that leads elites to update their belief, reinterpreting trade openness as an unmet promise, or, as former National Security Advisor Jake Sullivan put it:

such as regional politicians and supply-chain managers.

[4]Trade openness refers to the practice, rather than necessarily the free-trade ideal.

> "America's industrial base had been hollowed out ... The postulate that deep trade liberalization would help America *export* goods, not jobs and capacity, was a *promise made but not kept*." (Sullivan 2023)

Top elites such as Sullivan are largely insulated from constituent pressure and worry less about disadvantage sectors; he praised free trade in 2011 (Department of State 2011). It is advantage sectors that are expected to expand exports. Backlash, thus, is the politics of *threatened winners* actively perceived by elites. Once belief erodes, subsequent policies are unpredictable: outright protection – framed through electoral, geopolitical, or industry-support rhetoric – rather than the once-common managed transitions.

The argument yields a central prediction: contemporary protectionism should concentrate in sectors that combine perceived national advantage facing threats. The scope of this threat should also shape the response: a bounded threat that implies an anomaly requiring correction leaves other advantage sectors still confirming the belief, so a government usually chooses targeted protection. A systemic threat, however, can generalize into a broader turn against free trade.

I test the argument on the United States. The U.S. has been the leader of global trade since WWII. Until the early 2010s, mainstream debates on trade largely focused on disadvantaged sectors and labor-market adjustment (Acemoglu et al. 2016; Autor et al. 2013), shortly before China's ambitious push (e.g., "Made-in-China 2025" in 2015, hereafter MIC2025) into advanced industries alarmed Washington. The main test is the 2018 Section 301 action, the unprecedented reversal in postwar American trade policy (Fajgelbaum et al. 2020). Exploiting the first two rounds of most discretionary tariffs by the USTR on over 4,100 HS-6 level products, I find strong support for the argument: targeting was substantially more likely (from single digit to over 35%) in broad sectors China had publicly identified for entry. Within those sectors, furthermore, targeting was 38% more likely for sectors in which the United States retained a durable comparative advantage – that is, expected advantage now facing threat, which proxies expectation mismatch. The result holds across alternative

measures, placebo tests, and tests of competing explanations that include protecting losers, security, lobbying, and partisan politics, or supply-chain fragmentation.

Two further sources of evidence support the mechanism. First, a comparative study of the U.S. trade conflicts with Japan in the 1980s and with China after 2018 traces the mechanism across advantage and disadvantage sectors, and illustrates how the scope of the threat shapes the response. Second, rhetorical analysis of the Congressional speeches on free trade (1981-2024) reveals elite trade positions shifting from technical discussions and adjustments toward narratives of deindustrialization and unfairness, increasingly in reference to advantage rather than disadvantage sectors.

The paper makes three contributions. First, it offers a novel elite-level temporal explanation for why free trade, which was politically tolerable during globalization's expansion, became surprisingly unsustainable. I bring the "benign" assumption of comparative advantage to the analytical center by distinguishing the neglected "after-liberalization" politics, challenging the view that globalization backlash primarily reflects loser politics. Second, existing literature remains unclear about why elites surprisingly revise their trade beliefs. Rather than treating elites' views as fixed or deriving them from constituent preferences, I show when elites, especially the top ones, revise their preferences. This shift is consequential: when belief erodes, elites impose policy changes rather than accommodate losses, forcing supply chains, firms, and trading partners to adjust. Lastly, unlike what the backlash/compensation literature suggests (Margalit 2011; Kim and Pelc 2021; Magee 2001), domestic adjustment measures that hope to buffer globalization shocks may not resolve this particular form of backlash because it is no longer about distributive losses, but rather a deeper crisis in the foundational expectation that sustained openness.

The argument extends beyond advanced economies: Mexico and Indonesia have imposed safeguard duties where free trade had promised not only efficiency but a path to development and industrial upgrade.[5] This is particularly pronounced when service sectors are insufficient

[5]Indonesia Ministry of Finance, 2024.

to offset industrial development.[6] More broadly, the argument offers implications for regime-level preference change and cooperation. Policy regimes that impose present costs for diffuse future gains, from security agreements to the liberal international order that is facing severe crises (Lake et al. 2021), are sustained by a similar expectation. They are weakened not necessarily by realized losses, but when expected benefits fail to materialize, eroding support.

2 What Existing Accounts Leave Unexplained

The politics of trade has well-developed accounts of who opposes openness and why. At the individual level, support tracks skill and factor endowments (Mayda and Rodrik 2005; Scheve and Slaughter 2001), education (Hainmueller and Hiscox 2006), and consumption (Baker 2005). Sociotropic accounts maintain that attitudes follow judgments about the national economy more closely than personal circumstances (Mansfield and Mutz 2009). At the aggregate level, import competition harmed employment in exposed regions and shifted local politics toward the extremes (Autor et al. 2020; Broz et al. 2021; Colantone and Stanig 2018).

The contemporary anti-free trade turn falls outside these accounts. The first is agency. Recent restrictions were often initiated directly by policymakers rather than through industry petitioning, indicating that elites were not simply passive recipients of protectionist pressure. The second is timing. Conventional trade-politics theories explain the politics of initial liberalization when displacement occurs; but they struggle to explain why the broad anti-free-trade turn emerged much later to the extent that free trade becomes politically less sustainable.

Two further strands of literature bear on the question without settling it. Work on elite cues shows that mass opinion responds to elite and media framing (Ballard-Rosa et al. 2024; Guisinger 2017). Yet the revision is what requires explanation. Work on economic

[6] Goods exports were about 2.75 times services exports in 2025 (WTO), and most post-China shock service expansion occurred in lower-value sectors (Autor et al. 2025).

security and strategic competition explains why states restrict particular sectors (Carnegie and Gaikwad 2022; Farrell and Newman 2019). Yet governments may block the trade of a sensitive product while continuing to hold that broad trade can serve its interests (Grinberg 2021).

3 An Elite Theory of Trade Backlash

I develop the theory mainly in the context of the United States although it is generalizable to other contexts. The theory focuses on policy elites for two reasons.[7] First, they possess more information about global trade and the national economy than the public, and they are responsible for national economic outcomes. Second, they manage national policy instruments. Although a long tradition treats trade policy as the aggregation of societal interests (Rogowski 1989; Grossman and Helpman 1994; Hiscox 2002), elites' ideas and beliefs often exert decisive influence on foreign economic policy (Blyth 2002; Davis 2023; Hall 1993; Goldstein and Keohane 1993; Goldstein 1993). Ideas of free trade, reciprocity, or economic nationalism have repeatedly shaped elite positions, at times against material incentives and constituencies (Bailey et al. 1997; Chorev 2007; Irwin 2017).

3.1 Trade Liberalization and Elite Expectations

Existing accounts attribute elite support for trade openness to economic ideas, liberal ideology, democratization, and material gains (Gilligan 1997; Goldstein 1993; Milner and Kubota 2005; Pastor and Wise 1994; Weymouth and Macpherson 2012). At the core, the idea of "comparative advantage" is the canonical answer to why nations trade – trade raises welfare through specialization (Costinot et al. 2015; Ricardo 1817). Economists have called it the "most beautiful result in the field" (Findlay 1987), an "unassailable intellectual cornerstone" (Harrigan 2003), and the "one proposition in social science that is both true and

[7] By elites, I mean policy elites, particularly those who can make national policy, such as those in the executive branch and in Congress.

non-trivial" (Samuelson 1972). Although trade has evolved beyond sector-level specialization to incorporate heterogeneous firms (Melitz 2003) and supply chain tasks (Grossman and Rossi-Hansberg 2008), this underlying principle still applies (Krugman and Obstfeld 2009).

Comparative advantage has been at the "heart of support" for globalization (Baldwin 2016) and has deeply influenced liberalization policy and elites' pro-trade sentiment (Congressional Research Service 2021; Samuelson 1972; Williamson 1990). It concerned not only welfare and efficiency but also national economic competitiveness (Helleiner 2002; Krasner 1976). The 1998 *Economic Report of President Clinton* described American comparative advantage in skill-intensive sectors well positioned to gain from liberalization, with "good" jobs in exporting sectors replacing inefficient plants (Council of Economic Advisers 1998). The case for China's WTO accession partly rested on a similar belief: American exports justify import competition (USTR 2000).

Most trade(-politics) models build on the period in which an economy moves from autarky toward trade equilibrium, generating distributional effects – which I refer to as *during liberalization* (Rogowski 1989; Hiscox 2001; Scheve and Slaughter 2001; Margalit 2011; Kim 2017; Broz et al. 2020). In this period, reallocation mainly displaces disadvantage sectors (theoretically and empirically). Trade appears complementary because the displacement is understood as the necessary cost, which sustains the expectation. Trade distortions are often politically *inert*, because they appear to speed up reallocation. The usual political response is "managed transitions," such as Trade Adjustment Assistance (TAA) or antidumping and countervailing duties (AD/CVD) to cushion adjustment costs. In the United States, this period describes the postwar decades or the first decade after China's WTO accession.

U.S. elites generally expected that comparative-advantage sectors would prosper, which are often technologically sophisticated and productive (including services). Yet, this is not reducible to advanced sectors: when the openness belief holds, elites may accept their contraction as consistent with efficient specialization driven by *market* forces. The historical decline in advanced sectors not understood as U.S. advantages (e.g., passenger rail to Japan,

commercial shipbuilding to Korea, or semiconductor lithography to the Netherlands) generated limited backlash.

In fact, many U.S. elites prioritized market-driven efficiency without privileging particular sectors, provided aggregate national competitiveness is strengthened. This is exemplified by presidential economic advisors Michael Boskin (under Bush) and Christina Romer (under Obama), who were respectively associated with the view of no inherent preference for "computer over potato chips" or "manufacturing over haircuts" (Atkinson 2022).

3.2 From Expectation Mismatch to Belief Shock

Comparative advantage, however, specifies where liberalization settles rather than how long the settlement lasts. Indeed, the long-run effect of trade openness is itself debated (Garrett 2000; Krugman 1987; Lawrence and Weinstein 1999; Rodríguez and Rodrik 1999). Its realization depends on assumptions such as balanced trade and minimal friction, which do not always hold. After trade reallocation has stabilized, scale economies, policy choices, external shocks, or fragmented global value chains can all move a country's advantage away from what its underlying conditions would imply (Baldwin 2016; Krugman 1987; Rodríguez and Rodrik 1999). This possibility underpins the paper's argument.

As opposed to "during liberalization" in existing literature, I define *after liberalization* as the theoretical period after the initial reallocation has stabilized, while competitive pressures continue to reshape incumbent advantages. This period is uncertain because existing literature offers little insight into the subsequent politics.[8] Empirically, U.S. legislators in the 1990s could plausibly anticipate where Chinese imports would hit, but this became much harder as China later moved beyond labor-intensive sectors (Bombardini et al. 2023).

Economically, erosion in advantage sectors can permanently reduce real income (Samuelson 2004) and long-run welfare (Krugman 1987). Figure 1 illustrates how losing advantage sectors can lower a country's production levels. Then, trade can become self-defeating rather

[8] Even the dynamic comparative advantage literature (e.g., Krugman (1987)) is implicit about the period, with no role for political implications.

than efficiency-enhancing.

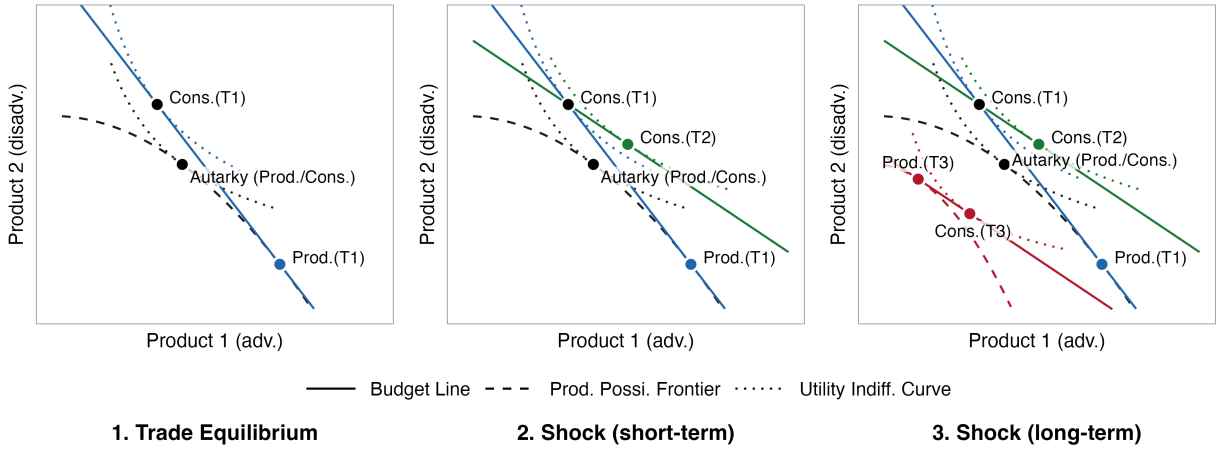


Figure 1: Welfare Change When Advantage Sectors Lose Out. *Note*: The graphs depict that a short-run trade shock to advantage sectors initially appears benign, because deficit financing allows consumption to even rise despite worsening terms of trade. In the long run, when the advantage sector contracts, welfare falls below its autarky level. See Appendix A for formalization. Pros.=Production, Cons.=Consumption.

The logic of comparative advantage becomes politically vulnerable when sectors expected to win are threatened. This creates an *expectation mismatch*: the outcomes of openness appear inconsistent with the *ex ante* belief that openness would reinforce national competitiveness. When elites attribute the mismatch to existing trade openness, rather than temporary disruptions or domestic policy failures, their belief in the *status quo* openness can weaken. Tolerated distortions in the "during-liberalization" period may become politically volatile, as in the ongoing "second China shock."

Table 1: Cross-Partisan Elites' Weakened Trade-Openness Beliefs

Role	Democratic	Republican
Trade	**Katherine Tai**, USTR: "*When efficiency and low cost are the only motivators [in trade], production moves outside our borders.*" (Tai 2023)	**Robert Lighthizer**, USTR: "*Policymakers, business leaders, economists... need to abandon the dogma of trade from 18th-century philosophers...*" (Lighthizer 2021)
Foreign	**Jake Sullivan**, National Security Advisor: "*In the name of oversimplified market efficiency, entire supply chains–along with the industries and jobs that made them–moved overseas... The traditional model doesn't cut it.*" (Sullivan 2023)	**Marco Rubio**, Secretary of State/National Security Advisor: "*An almost religious commitment to free and unfettered trade at the expense of our national economy... collapsed industrial capacity.*" (Rubio 2025)
Commerce	**Gina Raimondo**, Sec. of Commerce: "*Ensure unfair trade practices do not threaten our competitiveness... trade policy that will help protect key U.S. industries*" (Raimondo 2024)	**Howard Lutnick**, Sec. of Commerce: "*that the old globalist line of thinking has been a disaster for America*" (Lutnick 2026)
Treasury	**Janet Yellen**, Sec. of Treasury: "*Friendshoring is our approach to advancing trade that is free and fair*" (Yellen 2022)	**Scott Bessent**, Sec. of Treasury: "*[in trade] low prices would compensate for lost capacity... those assumptions failed to materialize.*" (Bessent 2026)

In contrast to the strong pro-openness beliefs of Bush and Clinton quoted in the introduction, the change in elite belief is visible. Table 1 presents statements by senior officials overseeing trade, commerce, finance, and national security across both parties. It provides direct evidence that, despite partisan divergence, elites' belief in the postwar free-trade regime is significantly weakened, particularly regarding the eroding U.S. industrial capacity and national competitiveness, which are unrelated to disadvantage sectors. These appointed elites who were relatively unpressured by local constituents may not spell out "comparative advantage," but their critiques center on sectors underpinning U.S. economic strength. Even among traditionally labor-oriented Democrats, elites increasingly emphasize the protection of key U.S. industries. When their expectations are violated, elites can become more sensitive to foreign trade practices, leading to criticisms of unfairness.

While elite rhetoric may reflect strategic or political motivations, the rhetorical persis-

tence after officials leave office, their convergence across departments and partisanship, and corresponding shifts in policy provide suggestive, though not definitive, evidence of underlying belief change.

President Obama provides an illustration of within-individual shifts. In his 2011 address to Congress, he advocated "clearing the way" for several more trade agreements alongside assisting workers affected by trade (Obama 2011). Despite emerging concerns about foreign distortions hurting workers and U.S. firms abroad, Obama's policy response emphasized WTO complaints and more enforceable trade agreements, including the Trans-Pacific Partnership (TPP) to "strengthen trade relations" with Asia (Obama 2010). A potential turning point came in 2015, when China announced "Made-in-China 2025 (MIC2025)," an industrial policy targeting advanced sectors. By 2016, Obama's USTR had began criticizing MIC2025 (USTR 2016). Meanwhile, Obama, though not turning protectionist, pushed to finalize the higher-standard (but more exclusive) TPP to ensure "globalization not working against us," emphasizing protecting American innovation and intellectual property and "holding trading partners accountable" (Obama 2016).

The subsequent policy shift was more pronounced. In 2018, USTR Robert Lighthizer explicitly framed Section 301 tariffs as defending America's "critical *comparative* advantage" (USTR 2018b), while the Biden administration retained most measures and dramatically increased tariffs on key sectors.[9] The U.S. continued to push broader measures of protection and industrial policies even beyond China. Overall, elite views shifted from fostering trade openness to sustain U.S. competitiveness toward questioning whether continued openness undermined the very strength.

3.3 Trade Backlash: Theoretical Prediction

Expectation mismatch serves as an information shock that can erode elites' existing belief in *status quo* openness. As belief erodes, elites become less inclined to view threatened advan-

[9]For example, tariffs on semiconductors and solar panels rose from 25% to 50%, with electric vehicles increasing from 25% to 100%

taged sectors as an efficiency-enhancing market adjustment and refrain from intervention. In contrast, with belief intact, protecting particular sectors entails substantial perceived costs, including efficiency losses, retaliation by trading partners, potential challenges under WTO rules, and reputational damage.

Expectation mismatch shapes the political response in three ways. First, it concerns policy target. Actors evaluate outcomes relative to expectations rather than in absolute terms (Alesina and Passarelli 2019; Kahneman and Tversky 1979; Tversky and Kahneman 1991), assigning greater weight to losses relative to expectations than to equivalent gains (Kőszegi and Rabin 2006). The decline of a disadvantage sector consistent with expectations does not count as a loss, whereas the erosion of an expected winning sector does. Consequently, threatened advantage sectors should be more likely the protection target than injured disadvantaged ones.

Second, expectation mismatch shapes policy *intensity*. Elites accept the costs of trade openness as long as they believe the gains justify those costs (Keohane 1984; Koremenos et al. 2001). When advantage sectors are subsequently threatened, the combination of unmet promises and realized costs is what gives the reaction its moral charge – a sense of unfairness beyond mere disappointment. This increases the likelihood of more confrontational trade policies.

Lastly, expectation mismatch relates to policy *durability* by removing the basis for accepting future losses. Once expectation is violated, elites can no longer appeal to the unmet promise to defend further openness. That accounts for the escalation spreading to deals that may be less relevant to the original backlash. The Trump administration's withdrawal from the TPP, with its tariffs enhanced by the opposite party, is what an unmet promise produces and what a constituent grievance does not.

Therefore, the central prediction is that expectation mismatch, arising in the *after-equilibrium* period in particular, should lead to protection that disproportionately concen-

trates in advantage sectors facing threats (**H1: threatened winner**).[10] Figure 2 contrasts the predicted patterns of protection across two trade periods.

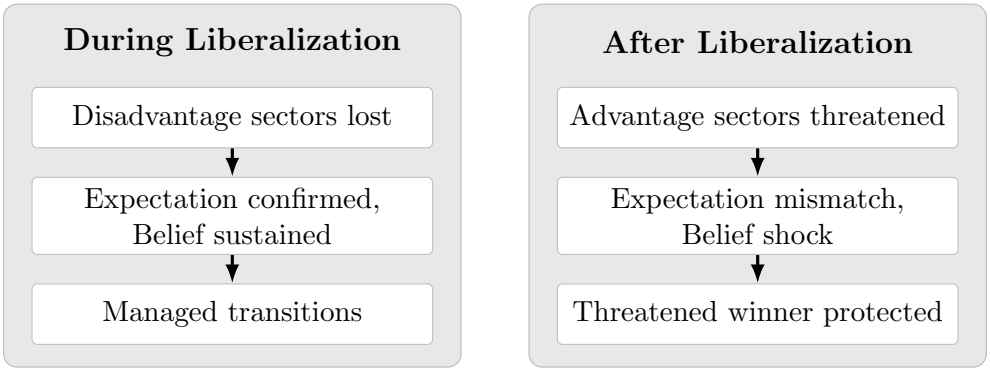


Figure 2: Two Theoretical Trade Periods and Predictions

Note that the breadth of the response depends on the scope of the threat. Threats confined to a few sectors leaves the expectation intact elsewhere, whereas a systemic threat across many advantage sectors may undermine openness belief more generally. Section 4 illustrates this distinction through the U.S. trade conflicts with Japan and China.

The theory makes predictions distinct from competing theories. As summarized in Table 2, distributional harm to disadvantage sectors usually results in managed-transition instruments. Moreover, although Trump benefited electorally from trade-affected communities, his trade agenda retained substantial elite agency, focusing on industrial capacity, technology transfer, and trade imbalances, as illustrated by the Section 301 action below. Policymakers may also intervene to address externalities or support infant industries without undermining their broader commitment to free trade.

[10] Existing trade institutions such as the WTO may constrain the effect magnitude but should not alter the directional prediction.

Table 2: Major Explanations of Trade Backlash

Theory	**Level**	**Mechanism / trigger**	**Predicted response**
Distributional loss	Constituent	Import competition imposes concentrated losses on disadvantaged sectors	Managed transition (*e.g., 1st China shock*)
Endogenous protection	Constituent	Interest groups mobilize and lobby for protection	Sectoral rents (*e.g., Harley-Davidson's 1982 petition*)
Sociotropic	Public	Trade is perceived to harm aggregate or national welfare	Welfare-focused correction (*e.g., support for compensation*)
Strategic/security	Elite	Trade dependence creates vulnerability or shifts relative capabilities	Strategic & security exceptions (*e.g., defense-industry protection*)
Expectation mismatch	**Elite**	**Trade outcomes violate prior expectations by threatening perceived national advantages**	**Belief erosion, advantage protection (*e.g., 2nd China shock*)**

Moreover, elites can protect sectors on security or strategic grounds. However, these sectors usually create exceptions to free trade rather than broad belief update. European policymakers, for instance, remain committed to trade openness while protecting food sectors, yet have become more increasingly skeptical when foreign competition starts threatening automobiles perceived as a European advantage (European Commission 2023). As explained above, elites who believe in market-driven efficiency are unlikely to protect disadvantaged sectors solely for their technological sophistication or economic importance, particularly given existing trade rules. The empirical analysis further examines whether threatened winners matter, accounting for other factors.

Finally, the empirical prediction rests on several assumptions: backlash is less likely when comparable new advantages visibly emerge, since the expectation is met in aggregate. It is less likely to produce protection where the state lacks the means to respond due to, for example, dependence on the competitor. Backlash is weaker in sectors elites do not associate with national economic strength, such as certain agricultural and material commodities.

4 Two Trade War Cases: Probing the Mechanisms

Before the statistical analysis, I first provide an in-depth comparative study of two different historical cases to probe the mechanisms. The United States fought two trade conflicts: one with Japan in the 1980s, one with China from 2018 onward. Both episodes show theory-consistent, yet differentiated patterns: the U.S.-Japan case reflects a largely sectoral version of the argument, while the U.S.-China case reflects a more systemic version.

The two episodes approximately match the "after-liberalization" period.[11] Japan's liberalization took place within the postwar Western bloc and reached equilibrium once Japan closed the gap in U.S. disadvantage sectors in the 1970s. China's liberalization took place within the expanded post-Cold War trade system, and roughly reached equilibrium around commonly used endpoint in the "China shock" literature (Autor et al. 2013).

U.S.-Japan: bounded threat and targeted protection

Japan's rise in the 1980s threatened American producers across several sectors: textiles, consumer electronics, steel, shipbuilding, automobiles, semiconductors, and precision machinery among them. Contemporary accounts emphasize that U.S. complaints focused on Japan's industrial policy, market access barriers, and exchange-rate practices, but the conflict remained concentrated in specific sectors rather than generalized across the economy (Prestowitz 1988; Tyson 1992).

In a 1986 White House briefing amid the trade war, President Reagan, a neoliberal advocate, described comparative advantage as "so widely accepted and clearly understood" forming the primary principle of his trade policy (Reagan 1986b). He explicitly rejected protection of "import-sensitive" sectors. Yet, he vowed to *correct* unfair practices hurting certain industries (e.g., semiconductors) so that "America comes out of the competition a winner" (ibid). This juxtaposition suggests that, despite Reagan's adherence to free trade as an ideal, his belief in maintaining *status quo* openness weakened. This shift was driven

[11] See Figure 8 for import penetration trends.

not directly by security or strategic concerns, but by threats from distorted practices to sectors he believed could "win" under *genuine* free trade. Consequently, he became willing to protect threatened winners.

The United States primarily defended advantage sectors. Textiles, consumer electronics, and shipbuilding, widely considered comparative disadvantaged, received managed transitions at most (Borrus et al. 1986; Irwin 1996). Textile imports had been under quota since the Multi-Fiber Arrangement of 1974, a restraint that buffered adjustment (USITC 1981). Shipbuilding, an industry understood as labor-intensive and already in structural decline, lost its commercial sector almost entirely throughout the decade, and the Reagan administration's response was to cut the subsidies (Reagan 1986a). Most consumer electronics assembly received no equivalent instruments.

In contrast, automobiles received more sustained defense: voluntary export restraints (VER) limited Japanese shipments from 1981 to 1994 and explicitly gave the U.S. industry time to adjust and preserve its competitive position, unlike the managed decline of textiles (Feenstra 1988). Semiconductors received a comparable defense: the 1986 Semiconductor Arrangement restricted Japanese pricing and guaranteed American producers a fixed share of the Japanese market, and it targeted dumping specifically in memory chips, the segment where Japanese competition was most acute (Irwin 1996; Borrus, Tyson, and Zysman 1986; Reagan 1986a). Machine tools, with security implications, received a more aggressive instrument – a 1986 voluntary restraint agreement covering Japan and Taiwan, partly pursued under Section 232 on national-security grounds (U.S. Congress 1987).

The comparison of steel and automobiles reveals the agency of policymakers. When steel producers petitioned for import relief (tariffs/quotas) in 1984, the International Trade Commission (ITC) recommended it under Section 201's injury standard. Despite eventually negotiating voluntary restraint agreements paired with an industry adjustment program, President Reagan rejected that recommendation, judging import relief not to be in the national economic interest (Reagan 1984). This was precisely managed transitions from

constituent pressure, not the advantage-sector defense. In contrast, for automobiles, although the ITC determined that imports were not a substantial cause of injury, the Reagan administration nevertheless pressed Japan for a VER (USITC 1980).

The semiconductor case explicitly supports the theory once disaggregated. Semiconductors had been viewed as one U.S. advantage since World War II, with substantial economic and strategic value, but was being eroded by Japan through "a conscious national strategy of establishing comparative advantage"(Congressional Record 1982). But U.S. policy did not attempt to preserve every segment. Intel among other U.S.-based firms exited commodity DRAM (dynamic random-access memory) production, ceding it to Japanese and later Korean producers, and redirected its capacity to microprocessors, then described as a deliberate move toward the chip design segment with higher relative margins (Grove 1996; Macher et al. 1998). What the 1986 U.S.-Japan Semiconductor Agreement protected was market access and pricing discipline for the industry as a whole, which benefited the higher-valued, differentiated segment like design; it did not, however, constitute a policy of restoring U.S. advantage in DRAM manufacturing.

Crucially, the Japanese challenge was widely perceived as serious but bounded. Although fears of "Japan Inc." were salient, the threat did not appear to span the full range of advanced U.S. industries, while staying within localized correction (Friedman 1988; Vogel 1996). Rather than retreat from the trade regime once the Japan disputes settled, it expanded its commitment to it. The North American Free Trade Agreement took effect in 1994, the same year the last of the auto VERs expired (Governments of the United States, Canada, and Mexico 1994).[12] The Uruguay Round Agreements Act, creating the World Trade Organization, took effect one year later.

[12]The auto VER itself had exempted cars built in the United States from the quota, and Japanese automakers responded by building American plants, Honda in 1982, Nissan in 1983, Toyota in 1986 (CSIS 2018).

U.S.-China: systemic threat and broad-based backlash

The U.S.-China case reflects a more systemic version of the same logic. China's sheer economic size and its systematic state-backed industrial upgrading appeared not as isolated competition in a few sectors, but as a broad movement across a wide range of industrial and technological domains. Under those conditions, policymakers increasingly interpreted free trade as a general threat to hollow out the industrial basis of national power.

In the 2000s, China's WTO accession generated large import shocks in labor-intensive manufacturing sectors, primarily interpreted through a conventional adjustment lens (Autor et al. 2013). By the 2010s, however, U.S. policymakers increasingly framed China's trajectory as broad-based upgrading across advanced industrial sectors, supported by state policy, technology acquisition, and agglomerating global value chains (Lardy 2019; Naughton 2021).

The U.S.-China trade conflict since 2018 showed what seemed like the same selective logic at the outset, then broke from Japan's pattern in scope. Official U.S. assessments emphasized that Chinese industrial strategy targeted many high-value sectors simultaneously (USTR 2018a). The issue was no longer confined to isolated sectors; it was that the sectors expected to anchor U.S. advantage were themselves being challenged across the board. Section 301 Lists 1 and 2 targeted products in Made in China 2025-designated chapters specifically, until approximately two-thirds of U.S. imports from China carried additional tariffs.

The tariffs also survived a change of party, a test the Japan episode offers no comparable version of. The Biden administration inherited the Trump tariffs, and the instrument itself widened as the conflict continued: from tariffs, to export controls on semiconductors and the equipment that produces them in 2022 (Bureau of Industry and Security 2022), to restrictions on outbound investment in 2023 (The White House 2023), to domestic industrial policies under the CHIPS Act and the IRA aimed at rebuilding lost capacity. Protection for a specific list of advantage sectors became, within several years, a bipartisan reorientation of the trade relationship that neither party has since reversed.

By 2025, this logic moved beyond China entirely. The second Trump administration

imposed near-universal tariffs on most U.S. trading partners under emergency economic powers (IEEPA). When the Supreme Court ruled that authority invalid in February 2026, the administration replaced it within the same day using a different statute rather than abandoning the policy. What began as a bounded response to a specific competitor had become, within seven years, a general position that trade should not be broadly open.

In summary, the two episodes differ in outcome visible in what each government did with the rest of its trade policy beyond the disputed sectors themselves. Once the sectoral threat in the Japan conflict reached settlement, the United States expanded its liberalization commitments elsewhere. When threats are systemic, as in the U.S.-China case, tariff coverage and the range of instruments kept expanding instead. Both episodes also confirm the core expectation-mismatch argument that contemporary backlash is driven not only by who loses from trade, but by whether globalization continues to reward the sectors that originally legitimized it.

5 Statistical Analysis

5.1 Research Design

I test the argument on the United States for three reasons. The U.S. has exhibited a clear bipartisan and temporal reversal in elite trade attitudes and trade policy. It is also the case in which the theory should be harder to sustain, since the United States is the architect of the postwar trade regime and the least likely of its members to abandon the reasoning behind it. Finally, it offers a variation of the threat scope the argument requires: two trade conflict episodes in which advantage sectors came under pressure, with differences in threat scope.

Data and Sample

The timing of the U.S. policy shift is revealing. As late as the early 2010s, both scholarly and policy debates centered largely on the adjustment costs borne by import-competing disadvantage sectors (Acemoglu et al. 2016; Autor et al. 2013). However, by the middle of the decade, Washington's concern across both the Obama and Trump administrations had increasingly evolved, alarmed by Chinese industrial policies such as MIC2025 that precisely targeted U.S. advantage sectors (USTR 2016; USTR 2018a). The policy focus was shifting from trade adjustments to a different level.

Unlike TAA or antidumping duties, which usually respond to constituency pressure from import-competing sectors, the 2018 Section 301 action represents a clean test. It was not only the beginning of systemic anti-free trade measures subsequently retained by the Biden administration, but also a clear top-down rather than bottom-up process, primarily justified by the *economic* rationale that "China's stated intention of seizing economic leadership in advanced technology" puts "the future of the U.S. economy at risk" (USTR 2018b; USTR 2018c). Explicitly, U.S. Trade Representative Robert Lighthizer portrayed Chinese practices as an "existential threat to America's most critical *comparative advantage*" (ibid).

Elites' agency was evident: in particular, List 1 ($34 billion) and List 2 ($16 billion) were compiled through an"extensive interagency economic analysis" anchored to the 2018 Section 301 investigation report, working downward from ten MIC2025-designated broad categories to specific HTS-8 tariff lines implying active selection (USTR 2018c). In fact, the total $50 billion comes from USTR's calculated harm caused by China's practices (ibid). Importantly, it was not for firms seeking bottom-up protection: although the USTR opened an exclusion process shortly after, most such requests were denied solely based on USTR's discretion.[13] The following Lists 3 and 4 ($200 and $300 billion respectively), by contrast, expanded

[13]The USTR evaluates exclusion requests case by case, considering: (1) availability from non-Chinese sources, (2) importer attempts to source the product from outside of China, (3) severe economic harm to the importer or other U.S. interests, and (4) the strategic importance to "MIC2025" or other Chinese industrial programs (Congressional Research Service 2020). Moreover, exclusion is limited to 10-digit HTS subheading and removing some does not affect the parent 8-digit HTS heading, my unit of analysis (USTR 2019).

coverage sharply in response to a broader tit-for-tat retaliation escalation, including many consumer products.

The analysis proceeds at the six-digit Harmonized System (HS-6) sectors, the finest classification at which consistent bilateral trade data are available. The sample is narrowed down to manufacturing HS chapters 28 through 96, excluding agriculture (chapters 01-24), mineral fuels (chapter 27), and other primary commodities, which are governed by distinct political economy logics. Trade-flow data come from the BACI trade database (Gaulier and Zignago 2010a), which reconciles reported import and export values into a symmetric matrix at the HS-6 level for more than 200 countries annually from 1995 through 2022. All trade values are in thousands of current US dollars.

The period for measuring comparative advantage spans 2001 to 2007, the years between China's WTO accession and the onset of the global financial crisis, the window in which the first China shock in US manufacturing was most acute, serving as a stress test (Autor et al. 2013; Pierce and Schott 2016). Sectors that collapsed before 2007 are revealed as genuinely disadvantage sectors (e.g., textiles, furniture) that never formed the durable expectation the theory requires. I restrict the sample to sectors with non-missing pre-period BACI coverage and a valid concordance to the tariff lists.

Dependent Variable

The dependent variable, $Targeted_k$, is a binary indicator equal to one if HS-6 product k was included on Section 301 Lists 1 and 2, and zero otherwise. List content is drawn from the USTR Federal Register notices, which enumerate targeted product at the 8-digit HTS level. Within manufacturing, approximately 4,000 eligible lines existed, of which roughly 1,300 were affirmatively selected, suggesting the targeting reflects deliberate, product-specific judgment rather than blunt sectoral protection. I map each HTS-8 code to its first six digits and construct a concordance from the HS-2017 revision to the HS-1992 revision used by BACI.[14]

[14]USTR 2018 HTS codes are in HS-2017 space. HS-1992 is used for calculating the comparative advantage spanning 2001 to 2007.

For supplementary analysis, I disaggregate the combined indicator into List-1-specific and List-2-specific dependent variables. Since the lists overlap partly, I exclude any product targeted by List 2 but not List 1, and vice versa, so that products targeted by the other are not misclassified as untargeted controls.

Key Independent Variables

The empirical test operationalizes expectation mismatch through "threatened winners" (advantage sector × threat): the expectation that advantaged sectors would prosper (at t-1) contrasts with the threats these sectors subsequently face. This requires two measures: elite-perceived advantages and the threats they faced.

As elites' perceived comparative advantages are not directly observable at the sectoral level, I build on revealed comparative advantage as a proxy that policymakers could reasonably expect to remain competitive under continued openness. The central explanatory variable, $StableCA_k$ captures whether product k represented a sector of durable comparative advantage after the 2001-2007 trade shock. $StableCA_k$ is constructed based on revealed comparative advantage (RCA) index (Balassa 1965):

$$\text{RCA}_{k,t} = \frac{X_{\text{US},k,t} \,/\, X_{\text{US},t}}{X_{W,k,t} \,/\, X_{W,t}}, \tag{1}$$

where $X_{\text{US},k,t}$ denotes total US exports of product k in year t, $X_{\text{US},t}$ total US manufacturing exports, $X_{W,k,t}$ world exports of product k, and $X_{W,t}$ total world manufacturing exports. RCA values above one indicate that the US exports product k at a higher share of its total export portfolio than the world average, the conventional threshold for revealed comparative advantage in international economics (Balassa 1965; Leromain and Orefice 2014).[15] I compute U.S. annual $\text{RCA}_{k,t}$ for each HS-6 product over 2001-2007 using the full BACI bilateral trade matrix, summing across all trading partners for both US and world aggregates.

[15] I also use RSCA (Revealed Symmetric Comparative Advantage, Laursen) and NRCA (Normalized Revealed Comparative Advantage) as robustness checks.

Then I construct the measure $StableCA_k$, which is coded one if the mean RCA over 2001-2007 exceeds one and where the within-period change, $RCA_{2007} - RCA_{2001}$, is no less than -0.10:

$$\text{StableCA}_k = \mathbf{1}\left[\frac{1}{7}\sum_{t=2001}^{2007} \text{RCA}_{k,t} > 1 \;\text{ and }\; \text{RCA}_{k,2007} - \text{RCA}_{k,2001} \geq -0.1\right], \tag{2}$$

(2) presumes that real advantage sectors were those that withstood the China shock as a stress test. This measure is used because a sector is unlikely to hold a durable advantage if its RCA averages below one during the shock, or drops sharply even when it still remains above one. Although policymakers are unlikely to calculate this measure themselves, it is best understood to proxy their underlying sense of U.S. industrial strengths: the USTR, tasked with formulating trade policy, routinely tracks which sectors are holding or losing ground, and can reasonably be assumed to distinguish advantaged sectors from the rest. As a robustness check, the measure is replicated over 2001-2016 (in case an advantage naturally evolves into a disadvantage as economic structure changes, and is no longer perceived as advantaged), using coarser HS-4 sectors, and using different within-period changes of -0.05 and -0.20. Figure 7 visualizes changes in sectoral RCAs, many of which experienced decline primarily between 2001 and 2007.

MIC2025-designated sectors are broadly more advanced than non-MIC2025 ones, but more importantly, they serve as a proxy for perceived threats, where China signaled its ambition to enter. The USTR named the Chinese program in its report as the basis for identifying products and articulating the threat publicly (USTR 2018c). Based on USTR's own stated words, the variable $MIC2025_i$ equals one if product i belongs to one of eight broad HS-2 chapters that map to MIC2025 in its own terms: pharmaceuticals (mapped to HS 30), numerically controlled machinery and robotics (HS 84), next-generation information technology and semiconductors (HS 85), advanced rail equipment (HS 86), new-energy vehicles (HS 87), aerospace equipment (HS 88), ocean engineering and high-technology ships

(HS 89), and bio-pharmaceutical instruments and medical devices (HS 90).[16]

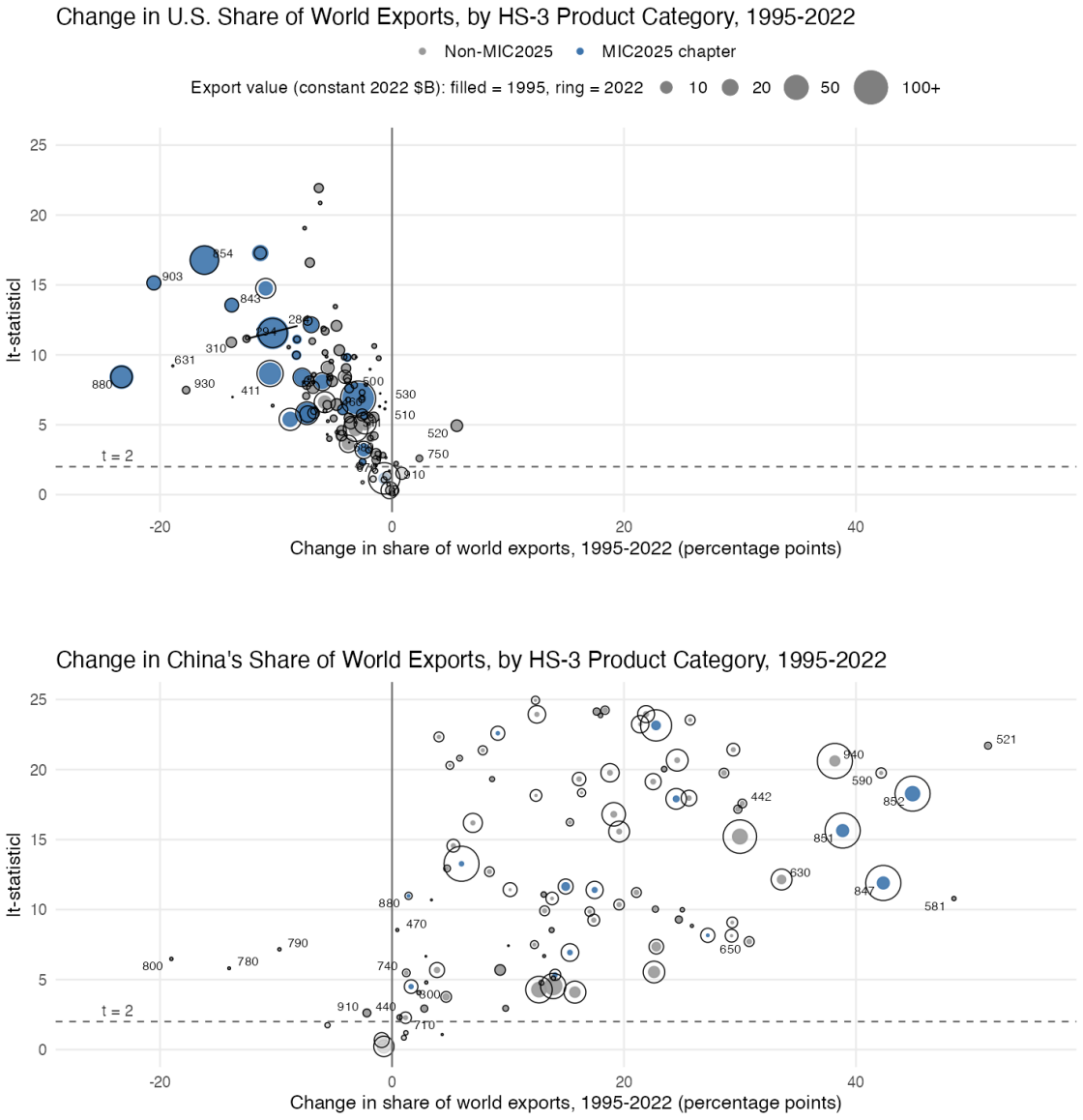


Figure 3: Change in U.S./China share of world exports, by HS-3 sector (merged from HS-4), 1995-2022. *Note*: Exports use inflation-adjusted values. Dark blue indicates sectors under MIC2025-related HS-2 chapters; grey indicates all other manufacturing categories. Points above the dashed line ($|t| > 2$) denote trend estimates statistically distinguishable from zero.

Figure 3 shows that, during 1995–2022, most U.S. manufacturing sectors decreased world

[16]Chemicals and materials chapters (28-29, 38, 72-76) are excluded because they encompass many basic non-strategic goods (Wübbeke et al. 2016). However, adding them generates consistent results.

export shares. Most MIC2025-related sectors that were the main U.S. export powerhouses in 1995 barely grew in real export value. By contrast, China shows the opposite pattern in both dimensions, already gaining substantially in MIC2025-related sectors.

Control Variables

I control for three baseline groups of covariates, each aimed at ruling out a specific class of confounders.

Sector characteristics. Log *U.S. exports* of a sector averaged over 2001-2007 controls for the possibility that larger, more politically organized industries petition to address threats independent of comparative advantage (Grossman and Helpman 1994). I additionally include *U.S. import penetration ratio* of a sector over the same period, capturing import-competing domestic exposure.[17] I also control for log *sector value-added* and *sector employment* from the NBER-CES Manufacturing Industry Database to rule out the possibility that the comparative advantage measure is merely proxying for employment and output salience.

Product category. Binary indicators for *intermediate goods* and *consumer goods*, constructed following the UN Broad Economic Categories (BEC) classification, control for the systematic avoidance of goods whose restriction would directly raise consumer prices or impede domestic supply chains. Both product categories may be systematically underrepresented on the tariff lists for reasons unrelated to comparative advantage.

China factors. Two controls directly address the alternative hypothesis that the USTR targeted Chinese export conditions. *Share of US imports* of a sector originating from China, averaged over 2001-2007, captures the intensity of direct import competition in the US domestic market (Autor et al. 2013). *Chinese RCA* of a sector over the same period rules out that the U.S. could target Chinese industrial strength. I also control for log *US exports to China* in a sector, capturing products where American exporters had active export exposure to the Chinese market that may lower targeting probability.

[17] For a given sector k, $\text{Import Penetration}_k = \frac{\text{Imports}_k}{\text{Domestic Output}_k + \text{Imports}_k - \text{Exports}_k}$.

Estimation Strategy

I estimate a linear probability model of the following form:

$$\begin{aligned}\text{Targeted}_k = \alpha + \beta_1 \text{StableCA}_k + \beta_2 \text{MIC2025}_k + \beta_3 (\text{StableCA}_k \times \text{MIC2025}_k) \\ + \mathbf{X}_k' \boldsymbol{\gamma} + \delta_{h(k)} + \varepsilon_k\end{aligned} \tag{2}$$

where $h(k)$ denotes the HS-2 chapter to which product k belongs, $\delta_{h(k)}$ is a chapter fixed effect, and $\mathbf{X}_k$ is the vector of controls described above. Standard errors are heteroskedasticity-robust and clustered at HS-4 levels. Chapter fixed effects are central to identification and a limitation. This rules out the possibility that results reflect chapter-level political or industrial characteristics. The HS-2 chapters can contain lower-level disadvantage alongside advantage products (e.g., HS 85 contains both semiconductors and consumer electrical appliances). Because MIC2025_k is defined at the HS-2 level, the MIC2025 main effect (β_2) cannot be separately estimated once chapter effects are included. β_3 is the coefficient that carries *H1*: whether stable comparative advantage predicts targeting more strongly within MIC2025-designated sectors than outside them, that is, the threatened winners, which operationalize expectation mismatch in which winners are expected to win. Belief shock is the resulting reinterpretation of free trade. Since the theory is partly a between-chapter claim, I estimate a model without chapter fixed effects accounting for variation between MIC2025 and non-MIC2025 chapters.

5.2 Empirical Result

The central hypothesis of the Section 301 action test is whether contemporary protection concentrates in sectors associated with threatened national strength rather than merely in sectors exposed to import competition in the conventional sense. The interaction term $\text{StableCA}_k \times \text{MIC2025}_k$ captures whether stable CA carries additional targeting probability within the domains where China has declared its intention to erode US advantage areas, that is, threatened winners.

Table 3: Comparative Advantage and the Targeting of Trump's Section 301 Tariffs

	DV: Section 301 List 1+2 Targeting					
	(1)	(2)	(3)	(4)	(5)	(6)
Stable CA × MIC 2025	0.108***	0.181***	0.188***	0.199***	0.200***	0.147***
	(0.035)	(0.033)	(0.032)	(0.031)	(0.031)	(0.033)
MIC 2025	0.469***					0.286***
	(0.018)					(0.021)
Stable CA	0.057***	0.017**	−0.012	−0.030***	−0.033***	−0.010
	(0.012)	(0.007)	(0.008)	(0.008)	(0.008)	(0.013)
Log US export value			0.020***	0.000	0.004	0.005
			(0.003)	(0.003)	(0.003)	(0.004)
Import penetration			−0.032	−0.004	0.003	−0.021
			(0.056)	(0.048)	(0.050)	(0.050)
Log value-added			0.062***	0.040**	0.035**	−0.036***
			(0.017)	(0.017)	(0.016)	(0.007)
Log employment			−0.026	−0.013	−0.012	0.061***
			(0.021)	(0.020)	(0.020)	(0.010)
China import share				−0.221***	−0.192***	−0.210***
				(0.033)	(0.032)	(0.029)
China RCA				−0.008**	−0.006*	−0.003
				(0.003)	(0.003)	(0.003)
Log US–China exports				0.020***	0.017***	0.025***
				(0.003)	(0.003)	(0.003)
Intermediate good					−0.141***	−0.186***
					(0.025)	(0.023)
Consumer good					−0.209***	−0.220***
					(0.026)	(0.024)
HS-2 FE	No	Yes	Yes	Yes	Yes	No
NumObs	4162	4162	4023	4023	4023	4023
R^2	0.369	0.515	0.529	0.546	0.560	0.435

* p < 0.1, ** p < 0.05, *** p < 0.01

Table 3 displays the results across six specifications, building from the unconditional interaction to the fully controlled specifications. The coefficient of $\text{StableCA}_k \times \text{MIC2025}_k$ tests *H1*. It is positive and significant in every specification, from 10.8 percentage points unconditionally (column 1) to 20.0 percentage points in the fully specified model (column 5). Column 2 adds chapter fixed effects alone. These absorb chapter-level confounders, such as industry characteristics or political influence, that correlate with MIC2025 designation,

comparative advantage, or targeting. Columns 3 through 5 add the three groups of controls progressively: sectoral factors in column 3, China factors in column 4, and product factors in column 5. Column 6 repeats column 5 but relaxes chapter fixed effects to allow for the coefficient of MIC2025. Diagnostic checks include VIF tests for multicollinearity.

Overall, MIC2025 chapters, representing the perceived threat to broad U.S. advantage areas, receive systematically higher targeting probability (46.9 and 28.6 percentage points more in columns 1 and 6, respectively). Within MIC2025 chapters, furthermore, durable comparative advantage in refined HS-6 sectors predicts a 16.7 percentage point higher probability of targeting – targeting exactly concentrates in threatened advantage sectors. Durable comparative advantage outside MIC2025 chapters, in contrast, predicts little targeting difference.

In Figure 4, each panel shows the same grid – U.S. stable comparative advantage status (2001-07) crossed with MIC2025 classification – with predicted probabilities of Section 301 targeting from the full specification (Table 1, column 6), computed via average adjusted predictions holding all other covariates at their observed values. Within MIC2025 chapters, the model predicts 37.0% and 50.7% probability of Section 301 targeting for nonstable-CA and stable-CA sectors, respectively.

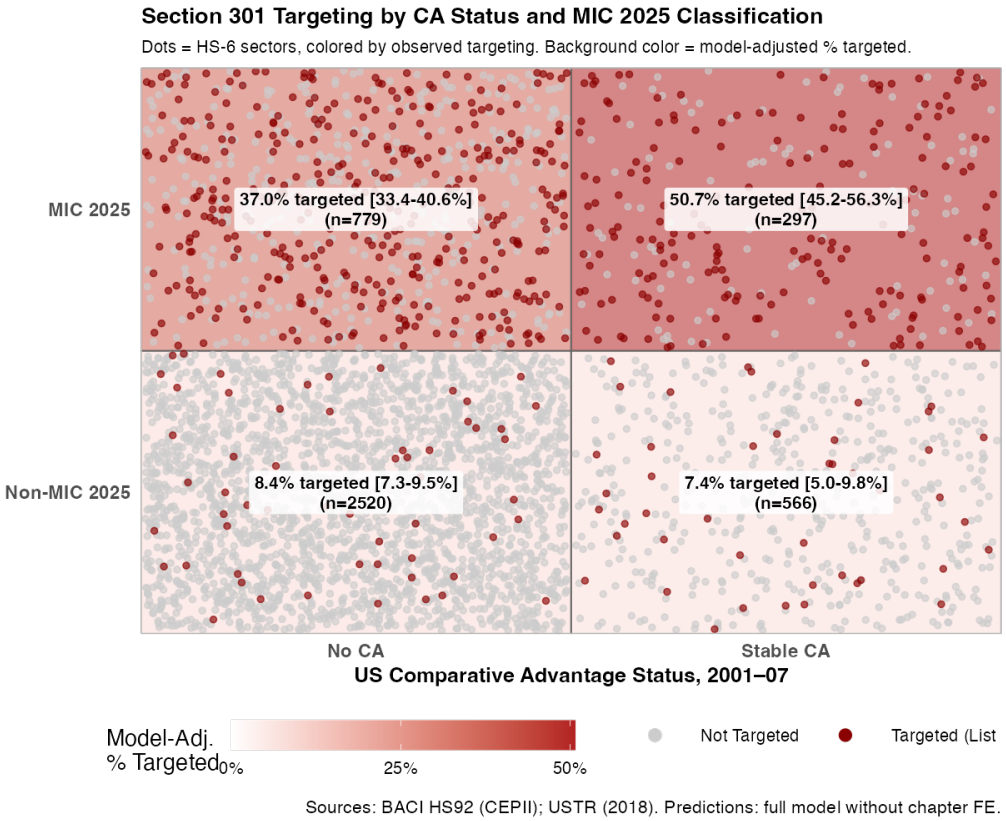


Figure 4: Predicted Section 301 Targeting by Stable CA Status and MIC2025 Classification. Note: Model-predicted Section 301 targeting probability by CA status and MIC2025 classification, with 95% CIs; dots show raw observed targeting outcomes.

Robustness Checks

Table 4 confirms that the findings are robust to an array of alternative specifications: the interaction term remains positive and significant when restricting to List 1 ($34B) or List 2 ($16B), when aggregating to HS-4 levels for the coarser unit of analysis, and Stable RCA reconstructed using an extended 2001-2016 window before Trump's election. Column (5) recodes MIC2025 using the narrower list of 70 HS-4 sectors that I manually mapped from the MIC2025 policy's named areas. Although the interaction term turns null, meaning Stable RCA gets higher targeting for both MIC2025 and non-MIC2025 sectors; threatened winners (stable CA = 1, MIC2025 = 1) still predict the highest targeting probability.

Table 4: Robustness: List Split, Aggregation Level, and Pre-Period Window

	(1) List 1	(2) List 2	(3) HS-4 Unit	(4) RCA 2001-16	(5) MIC HS-4
Stable CA × MIC 2025	0.226***	0.098**	0.222***	0.153***	−0.019
	(0.032)	(0.040)	(0.060)	(0.032)	(0.045)
Stable CA	−0.046***	−0.001	0.008	−0.025***	0.043***
	(0.005)	(0.007)	(0.016)	(0.008)	(0.013)
MIC 2025					0.185***
					(0.033)
Control	Yes	Yes	Yes	Yes	Yes
HS-2 FE	Yes	Yes	Yes	Yes	Yes
Unit of Analysis	HS-6	HS-6	HS-4	HS-6	HS-6
NumObs	3875	3530	940	4023	4023
R^2	0.542	0.477	0.677	0.556	0.561

* p < 0.1, ** p < 0.05, *** p < 0.01
Note: Robustness across list split, aggregation level, and pre-period window; interaction holds except under the narrow HS-4 MIC2025 list (designation effect).

I conduct additional robustness tests, including sensitivity analysis to assess the omitted variable bias following Cinelli and Hazlett (2020): any confounder (interacted with MIC2025) would need to be 21 times as strong as sectoral value-added, or 193 times as strong as import penetration, to eliminate the interaction effect (Appendix B.2). Furthermore, to relax the LPM's functional form, I apply two matching methods (nearest-neighbor matching and covariate-balancing propensity score weighting), finding the same pattern within MIC2025 sectors (Appendix B.3). As mentioned, I also construct stable RCA using different measures: RSCA (Revealed Symmetric Comparative Advantage), NRCA (Normalized Revealed Comparative Advantage), and continuous RCA (Appendix). To rule out the possibility that the effect reflects arbitrary MIC2025 or StableCA classifications, I conduct randomization inference, showing that the coefficient exceeds 99% of random draws (Section B.4). Overall, these tests strengthen the causal claim.

Key Competing Explanations

Apart from control variables and robustness checks, I address several key competing explanations in greater detail.

Security and strategic concerns. USTR could consider national security and U.S.-China strategic competition during the selection. However, several considerations challenge a security- or strategic-dominated explanation.

First, Section 301 action was explicitly centered around the economic competitiveness rationale: the 8-month Section 301 investigation was principally framed around "defending U.S. economic leadership against unfair practices," with tariffs "generally focused on" MIC2025-designated industries (USTR 2018d), while Lighthizer specifically emphasized "critical comparative advantage" (USTR 2018c). Second, the policy context reveals the security-economics coexistence: although U.S.-China competition long existed, Trump's 2017 Beijing visit emphasized commercial deals, and the subsequent "Phase One agreement" focused on purchase commitments. Conversely, when policy was fully security-centered (e.g., Section 232 placebo test below), the advantage-defense pattern does not emerge.

Moreover, in MIC2025-designated chapters (e.g., HS: 88 – aircraft, spacecraft and parts thereof) which proxy perceived strategic and security threats from an adversary, protection disproportionately targeted advantage sectors. I further examine whether StableCA's effect remains after accounting for security relevance. Due to the absence of U.S. official security-related HS-6 data, I created a detailed codebook based on trade security statutes/regulations (such as Section 232, National Security Strategy, Critical Infrastructures Protection Act) and coded all products into "security," "dual-use," and "neither."[18] Security predicts positive targeting, confirming its relevance, yet the main interaction remains unaffected. Within "neither" products, the main effect still remains. In Appendix B.8, I repeat the same checks using alternative measures: (1) the EU "exporting dual-use items" (European Commission

[18]See Appendix for the codebook. The coding has 91% agreement with an LLM-based version reading the same codebook.

2026) and (2) combining four security-relevant, although less systematic, lists: the U.S. Munitions List, the Commerce Control List, the U.S. Geological Survey (USGS) 2022 List of Critical Minerals, and the Cybersecurity and Infrastructure Security Agency's (CISA) Critical Manufacturing sectors.

Lastly, as noted, security often motivates targeted exceptions rather than broad belief deterioration, which contradicts elites' rhetorical and policy changes on broad trade openness. The policy reaction extends beyond U.S.-China competition: the EU, Mexico, and Indonesia's tariffs on China, the U.S.-Japan case, the U.S.-Europe case, and the U.S. broader movement toward protection and industrial policies challenge a primarily strategic mechanism.

Productivity and technological sophistication. Another concern is that StableCA merely proxies for more productive or technological sectors. However, U.S. policymakers, while seeking competitiveness, do not indiscriminately defend anything; Reagan ceded commercial shipbuilding and much semiconductor manufacturing being relative disadvantaged. With belief intact, it would be counterproductive to oppose market forces at the cost of WTO retaliation or reputation. Indeed, many U.S. elites prioritized trade efficiency over simply protecting advanced industries, as illustrated by presidential economic advisors Michael Boskin's (Bush) and Christina Romer's (Obama) respective associations with the computer-chips-versus-potato-chips and haircuts-versus-manufacturing comparisons (Atkinson 2022). This calculus changes, however, when belief weakens. Appendix B.6 calculates total factor productivity (TFP) from the NBER-CES Manufacturing Industry Database averaged 2001-2007, and the StableCA×MIC2025 term remains significant when controlling for TFP×MIC2025. Appendix B.7 further add three major indicators of sectoral technological intensity, and the main interaction remains unchallenged.

Interest-group lobby. The USTR may be subject to bottom-up lobby influence, which, however, is weakly supported. First, as described, Section 301 action was substantially executive-driven: USTR exercised broad discretion over Chinese industrial policies, and

most exclusion requests were denied. The USTR targeted MIC2025-designated sectors, many of which have not experienced direct harm yet. Second, the main test controls for a sector's exports, employment, and intermediate-good type for lobby motivations. Furthermore, in Appendix B.9, using firm-level lobbying data from LobbyView in the preceding years 2015-2017 (Kim 2018), StableCA×MIC2025 barely changes when controlling for lobby (expenditure or count)×MIC2025.

Partisanship. Another competing theory to consider is political-competitiveness: Fajgelbaum et al. (2020) finds that U.S. Section 301 tariffs favored sectors concentrated in electorally competitive counties (an inverted U-shape), raising the question of whether the main result reflects electoral targeting. The check (Appendix) similarly constructs a sector-level political-competitiveness measure – the labor-compensation-weighted average of 2016 county Republican vote share across each industry's producing counties, matched via the HS6-to-NAICS4 concordance – and adds it (with its square, allowing for the documented inverted-U relationship) to the full specification.[19] The interaction term remains unchanged (0.192 vs. 0.200 baseline).

Bilateral trade deficit. I test whether Section 301 targeting instead tracked the US-China bilateral trade deficit – an oft-stated rationale for Trump's tariffs – rather than comparative advantage. In Appendix B.5, adding the raw bilateral deficit and its interaction with MIC2025 as the controls leaves the StableCA×MIC2025 estimate essentially unchanged. The competing deficit term carries the opposite sign from what a deficit-driven-targeting story would predict.

Value-added RCA. RCA constructed from gross trade may understate U.S. comparative advantage in fragmented global production, where the United States specializes in high-value tasks such as design, R&D, and intellectual property while assembly occurs abroad. This creates plausible false negatives (i.e., Stable RCA = 0) in Stable RCA. Such misclas-

[19]The sector-level political-competitiveness measure is: $\text{PolExposure}_s = \sum_{r \in R_s} \frac{w_{sr} L_{sr}}{\sum_{r' \in R_s} w_{sr'} L_{sr'}} V_r$, where R_s is the set of counties with employment in industry s, $wsrLsr$ is industry s's labor compensation (payroll) in county r (Census County Business Patterns, 2016), and V_r is county r's 2016 Republican presidential vote share (MIT Election Data and Science Lab).

sification would tend to attenuate the estimate by assigning genuinely advantaged, highly targeted products to the control group, making RCA and non-RCA MIC2025 products appear more similar. As a robustness check, I reconstruct RCA using value-added exports, showing consistent results (Appendix).

Intra-industry product differentiation. Durable comparative advantage in modern trade may reflect differentiated-product specialization rather than commodity dominance. StableCA sectors do show higher intra-industry trade (IIT) than other sectors (Grubel-Lloyd index 0.345 vs. 0.258, $p < 0.001$), but this does not confound the result: the interaction is essentially unchanged controlling for IIT and IIT×MIC2025 directly and shows no significant moderation by IIT (triple-interaction $p = 0.145$; significant in both above- and below-median IIT subsamples).

Placebo Tests: pre- and post-2018 policy instruments

Additionally, I examine six placebo instruments that provide falsification tests for distinguishing the expectation-mismatch mechanism. As noted above, U.S. policymakers began recognizing threats to advantage sectors in the mid-2010s, and Section 301 Lists 1/2 represented the policy response most directly tied to those concerns. The theory therefore should not predict the pattern for policies that fall outside the relevant temporal or substantive scope.

Once policymakers erode faith in free trade, they protected threatened advantage sectors. Once deviating from free trade, subsequent policy responses can take unpredictable forms – including industrial policy, geopoliticization, and securitization. The USTR's later List 3/4 targeting of the Section 301 action expanded coverage to most remaining Chinese imports due to retaliation escalation (column 1 of Table 5). This is a markedly less selective policy than List 1/2 targeting. The interaction term is not merely null but reverses sign – StableCA×MIC2025 products were significantly less likely to be targeted.

The CHIPS Act (Biden, semiconductor manufacturing reshoring subsidies, column 2) fol-

lows a "rebuild lost capacity" logic that should be orthogonal to, or even inversely related to, defending existing comparative advantage. The interaction coefficient is small and insignificant, consistent with this prediction. The Inflation Reduction Act's (IRA) clean-energy provisions (Biden, sectors where the US held little prior advantage) deliberately support electric vehicles (HS 8703) and lithium-ion batteries (HS 8507), sectors with limited prior US comparative advantage. The result shows the same null pattern (column 3). Section 232 steel and aluminum tariffs of long-standing US comparative disadvantage (Trump, HS-2 chapters 72, 73, and 76) follows the national-security rationale. Because Section 232's targeted chapters are entirely disjoint from the MIC2025 HS-2 chapters, an interaction term is omitted. The coefficient of Stable CA is negative (column 4).

Table 5: Placebo: Instrument Specificity and Temporal Tests

	MFN Tariff (Pre-2016)	AD/CVD (Pre-2016)	Sec. 232 (Trump'18)	List 3/4 (Trump'18/9)	CHIPS (Biden'22)	IRA (Biden'22)
Stable CA × MIC 2025	0.015	0.009		−0.205***	0.008	0.010
	(0.229)	(0.011)		(0.036)	(0.010)	(0.012)
Stable CA	−0.106	−0.020***	−0.081***	0.019	−0.003*	−0.003***
	(0.123)	(0.007)	(0.009)	(0.017)	(0.002)	(0.001)
Control	Yes	Yes	Yes	Yes	Yes	Yes
HS-2 FE	Yes	Yes	No	Yes	Yes	Yes
N	3712	4023	4023	4023	4023	4023
R^2	0.531	0.092	0.180	0.355	0.088	0.118

Note: MIC2025 interaction omitted for Sec. 232 because its chapters (72, 73, 76) are disjoint from MIC2025 chapters; Stable CA alone is tested instead. List 3/4 uses USTR's later, broader Section 301 escalation rounds (2018–19) as the dependent variable. See Appendix B.10 for full results.

The remaining two placebo tests examine whether StableCA×MIC2025 products were already protected before Section 301 existed. Using the 2016 U.S. MFN applied tariff rate (WITS/TRAINS) as the dependent variable, the interaction coefficient is small and insignificant (column 5). Another version of the same test uses active US AD/CVD protection in 2009-2016[20]. The result is again null (column 6). These two pre-trend placebos indicate that Section 301's targeting pattern was driven by a new logic, rather than a continuation

[20]Data from the Temporary Trade Barriers Database (Bown 2016).

of pre-existing policies.

6 Policy Discourse on Free Trade (1981-2024)

Lastly, to reveal broader corroborating, particularly temporal evidence, I turn to policymakers' rhetoric to trace how their attitudes towards free trade evolve. I expect that policymakers have increasingly associated free-trade discontent with advantage sectors rather than transitional adjustment or disadvantage sectors. I analyze U.S. Congressional speeches on free trade. Members of Congress are not merely conduits of constituent preferences; they retain agency in shaping policy responses.

The Evolving Elite Trade Discourse

I first employ unsupervised structural topic modeling (STM) to identify broad topics in elite trade discourse and track their prevalence over time. This analysis establishes the temporal pattern, including the growing prominence of criticism of trade openness. The corpus consists of congressional floor speeches from the Hein-Daily corpus (97th-114th Congresses, 1981-2024), filtered to include speeches containing the keyword "free trade" and its spelling variants (excluding "free trade agreement"), because the theory concerns how elites frame the free-trade topic. This process generated 4,220 speeches. I capture 500 words surrounding each keyword occurrence for local framing for each speech.

In Figure 5, the broad pattern from the same corpus is a temporal and bipartisan shift away from technicality and liberalization discussions (e.g., environment and safety, agriculture) and toward concerns over industrial decline and lost jobs, which mostly include constituent-driven concerns from politicians. As these concerns reached a high level in the early 2010s, dormant anti-free trade rhetoric started rising. Through manual review of the texts, normative frames such as human rights and democracy were often used as justifying anti-trade views. Existing and new trade acts were also increasingly debated. This pattern

matches the central puzzle of the paper: free-trade skepticism intensified long after shocks plateaued. By comparison, security or strategic frames are not salient, suggesting a smaller role in accounting for the recent sentimental shift.

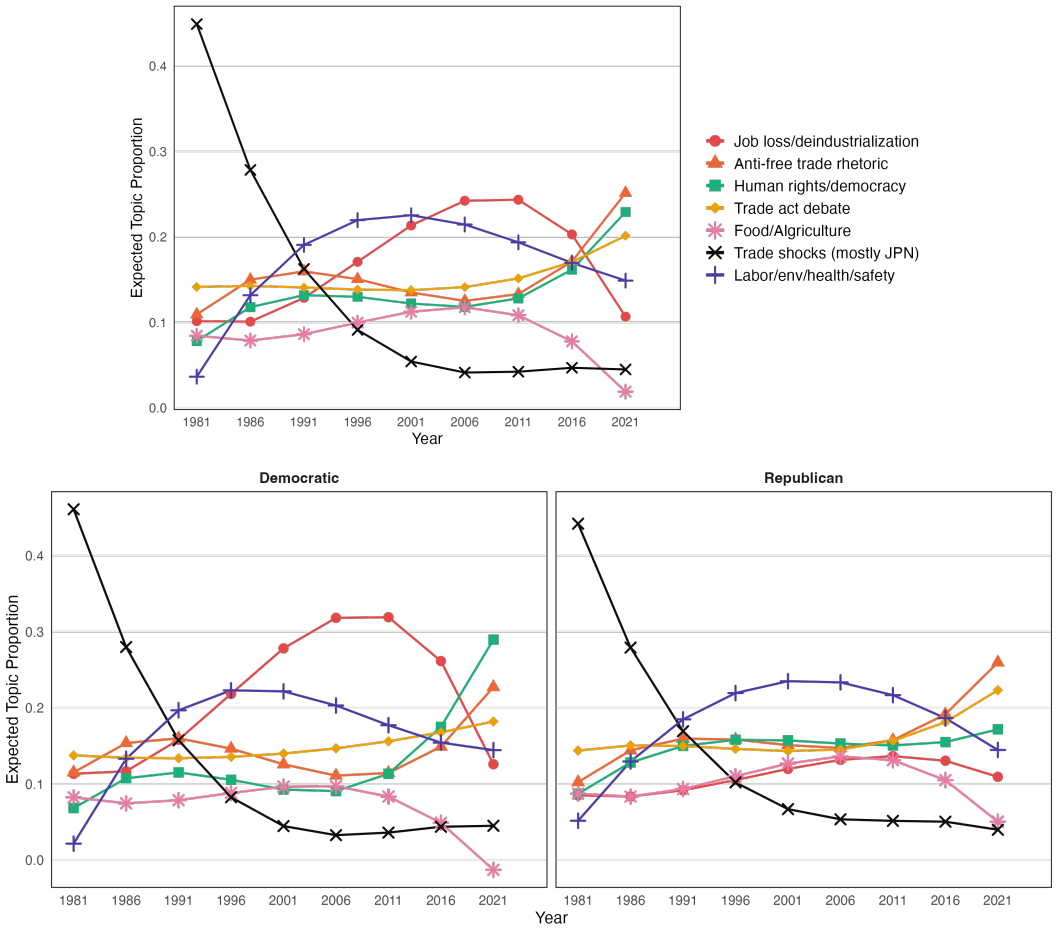


Figure 5: Trade Topic Trends: Congressional Speech on Free Trade by STM

Partisan patterns remain consistent: in the 1990s and early 2000s, Democrats more often emphasized regional and labor costs, while Republicans more often stressed growth and efficiency. After around 2010, however, anti-free trade skepticism rose across both parties. Concern over foreign industrial competition was often bipartisan, as illustrated by U.S. responses to Japan in the 1980s. Appendix 10 shows similar patterns when legislators mention "trade with China."

Elite Framing and Sectoral Threats

Having established the changing composition of elite trade discourse, I examine whether its substantive frames vary across advantage/disadvantage sectors as the theory predicts. An LLM-based approach can correspond to the specific, theoretically motivated constructs at stake here – whether a named sector is identified, whether the speaker is specifically expressing competitiveness-decline concern as opposed to generic job-loss language, or whether national-security language is invoked. Measuring these constructs requires context-aware, construct-specific classification, which is only tractable via LLM-based annotation.

Each speech was then classified by *gpt-4.1-mini* using the structured-output prompting, which constrains the model to a fixed set of valid category values per field.[21] The final prompt was tuned on a fixed 300-speech random sample iteratively to reduce non-idiosyncratic mistakes such as sector-frame misattribution (e.g., attributing sectors to frames in unrelated sentences) and incidental sector mentions (e.g., as unrelated, passing references such as "broadband sales"). For each speech, the model extracted every specific sector mentioned, with a total of 4,845 sector mentions, as well as five boolean rhetorical-frame indicators: industrial decline concern, security framing, criticize free trade, call for protection, and china mentioned. The purpose is to assess whether such frames are systematically associated with advantage sectors.

The LLM classification shows good face validity for both positive and negative cases. For example, it precisely identifies the automobile sector in Rep. Bart Stupak's (D-MI) 2004 speech associated with the correct combination of frames (security=F, protection=T, ft_criticize=T, industrial_decline=T, china_mention=F).[22] A human-validation sub-sample check (150 speeches), scored via Krippendorff's alpha, is reported in Appendix. Placebo tests, using synthetic neutral sentences or real excerpts with sectors swapped across cate-

[21] See Appendix for the codebook and prompt. Temperature was set to zero. Multiple runs using gpt-4.1-mini and using Claude Sonnet 4.5 yield similar classifications (raw agreement above 92%).

[22] Although in a few rare cases, LLM treats rhetoric like "protection of American know-how" as protectionism.

gories, find no evidence that the LLM's coding is systematically biased.

Sector names are then canonicalized through a manually-reviewed process to merge sectors with substantively identical meanings (e.g., "chips" or "microprocessors" to "semiconductors") or with spelling and phrasing variants (e.g., "auto," "automotive," "autos," or "cars" to "automobile"). This yields 1,048 distinct canonical sector names. I take a conservative approach to include only obvious sectors in the advantage/disadvantage categories while omitting the borderline cases. The point is to capture the relative mention share changes in a fixed set of advantage/disadvantage sectors comparable across periods. For advantage sectors, I manually classify each sector name against the MIC2025-relevant list that proxies broad-sense U.S. advantage sectors, a consistent operationalization from the main statistical analysis. This results in 1,287 mentions (23 canonical sectors), including "Automobile," "aerospace," and "pharmaceutical." For disadvantage sectors, I identify the ones fitting the classic "labor-intensive, import-competing, low value-added manufacturing" genre, excluding agriculture/food/livestock, energy/minerals, services, generic terms (i.e., "manufacturing"), and anything already MIC2025-tagged. 1,050 mentions (10 canonical sectors) were identified. The list includes "apparel," "steel," and "furniture," most of which have RCA < 1 in 2007. Finally, 2,508 mentions (792 canonical sectors) fall into neither – dominated by agricultural commodities, raw materials, generic terms, and services (many mentioned only once).[23] An LLM-based validation identifies 58 mentions (1.2%) different from manual classification.

[23] See Appendix 17 for the top 20 sectors for each category.

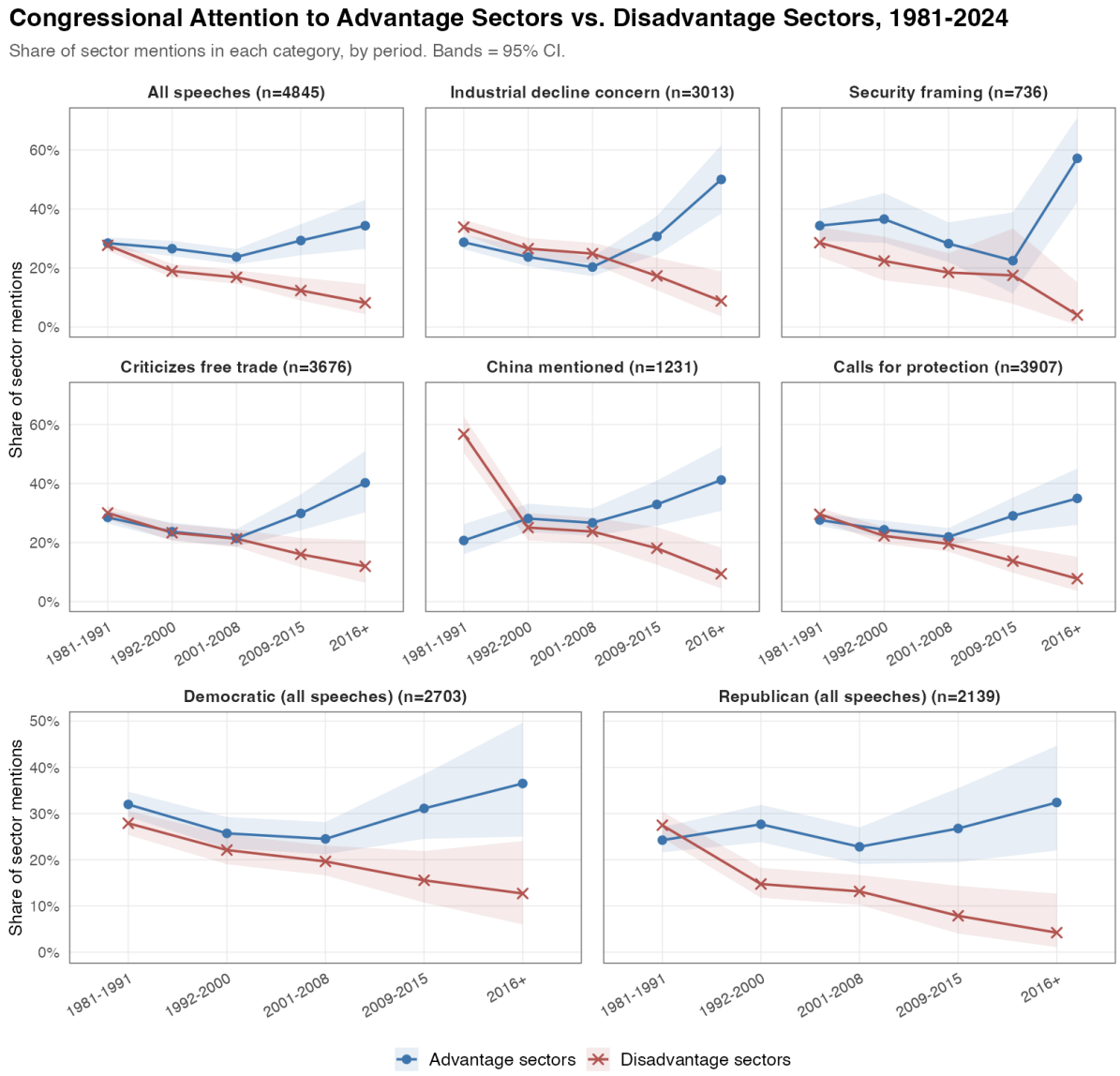


Figure 6: Advantage vs. Disadvantage Sector Share of Sector Mentions. *Note*: by period and rhetorical subgroup, with a standalone Democrat/Republican comparison. Shaded bands are 95% CI and n denotes number of sector mentions.

In Figure 6, across five binned periods, disadvantage-sector mentions (percentage of all mentions) decline steadily and substantially, from nearly 30% of all sector mentions in the 1980s to under 10% by 2016 and later, a pattern that holds across every frames examined.[24]

[24]This mention-level measure captures the composition of trade-sector attention. Mentions per sector-naming speech range from 1.8 to 2.3 across the five periods. Appendix reports results using speech-level measures.

Advantage-sector salience, by contrast, is comparatively flat until the 2000s and then rises rapidly afterwards, a pattern also visible within the speeches of all five frames and the bipartisan trends. All this strongly supports the central claim: when Congress elites frame trade issues, the sectors invoked have shifted decisively toward American advantage sectors. In particular, frames such as criticizing free trade or calls for protection increasingly associated with advantage sectors would indicate that deteriorating elite beliefs in free trade are linked to threats to expected winners.

Comparing the 2001-2008 and the post-2016 periods, advantage-sector salience within industrial-decline-concern or national-security-framed speeches, for example, rises by nearly 15 percentage points. Disadvantage-sector salience of the same subgroups falls by nearly 20 percentage points.[25] Rep. Marcy Kaptur (D-OH) drew this contrast explicitly, "*as U.S. multinationals moved manufacturing offshore, Americans were told their future was in knowledge jobs. Today, knowledge jobs are being moved offshore more rapidly...*" Table 6 presents more examples of these concerns. Legislators increasingly describe trade not as an external relation but as a self-inflicted vulnerability. The recurring rhetoric of "lost good jobs," "unfair trade," and "industrial decline" is consistent with the expectation-mismatch argument: disappointed elites no longer treat free trade as a bargain that works.

[25] Full regression specifications comparing the two periods (2001-08 vs. 2016+) are reported in Appendix 16.

Speaker	Year	Content
Rohrabacher (R-CA)	2010	"Well. if we permit them to launch our satellites on their rockets. we will be undercutting our own rocket industry. You can kiss our aerospace industry goodbye. If our major companies like Boeing and GE start outsourcing aircraft..."
Kucinich (D-H)	2010	"We cannot have a strong American economy without a strong industrial manufacturing sector that includes not only the steel industry. but also the auto. shipping and aerospace industries..."
Defazio (D-OR)	2011	"...the Korea Free Trade Agreement will cost us 160.000 jobs. Byebye to the last vestiges of the auto parts industry..."
Sutton (D-OH)	2011	"...This raw deal would be particularly bad for my district and districts around the country that support our domestic auto industry, auto suppliers and parts makers..."
Schumer (D-NY)	2011	"in this Nation where we once built the armaments of the world. where we once built the cars of the world. where we once built the great earthmovers. in this Nation that once was the strongest manufacturing Nation in the world. we have lost half of the manufacturing jobs."
Garamendi (D-CA)	2011	"But in the Recovery Act theres money for highspeed rail and a provision that says that this money can only be spent on equipment manufactured in America. Good. Wonderful. Thats the kind of law we need. We need to support American manufacturers. Now. they dont build highspeed rail systems in America."
Garamendi (D-CA)	2014	"The hightech industry. the automotive industry is coming back. and indeed. for a variety of reasons. some of it had to do with on our legislative agenda. We are seeing the revival of the American manufacturing sector. Good. wonderful. That is where the middle class jobs will largely come from."
Sanders (I-VT)	2015	"Today. there are nearly 200 electronics factories in Malaysia where hightech products from Apple. Dell. Intel. Motorola. and Texas Instruments are manufactured and brought back to the United States. If the TPP is approved. that number will go up substantially."
Stabenow (D-MI)	2015	"...the issue of currency manipulation affects every part of the economy–agriculture, medicines, and every part of the economy. All we are saying is to give us a shot here. Give American manufacturers and workers a shot..."
Hatch (R-UT)	2015	"The tech companies–these are America's moviemakers, software developers, computer manufacturers, the people who drive America's innovation–understand that promoting American trade requires protecting American intellectual property."
Kaptur (D-OH)	2017	"The Rules of Origin for autos and auto parts should be beefed up. The "regional value content" should be raised and all loopholes closed. "
Portman (R-OH)	2018	"...China tilts the playing field against American firms, innovators, and workers and gets the technology they need to leapfrog the competition."
Schumer (D-NY)	2019	"...an Executive order laying the groundwork to ban the purchase of telecommunications equipment from China's state-controlled firms. The decision, as I said, is having an impact because of Google. We are waiting for other companies to join in."
Rubio (R-FL)	2023	"...the targets of the Made in China 2025 initiative reveal the goal of the People's Republic of China for the near-total displacement of advanced manufacturing in the United States."

Table 6: Illustrative Congressional Concerns over Trade

Several limitations exist for Congressional speech analysis. The design cannot distinguish a genuine within-speaker rhetorical shift from a compositional effect of congressional turnover, since few individual legislators in the corpus have codeable speeches across periods. Sector-level attribution within multi-sector speeches is approximate: for example, roughly

9% of industrial decline speeches name both advantage and disadvantage sector(s) in the same speech, so the language cannot always be attributed to one specific named sector with certainty. Nonetheless, the main conclusions should hold.

7 Conclusion

This paper argues that the politics of anti-globalization are not governed only by who loses from economic liberalization; they are also governed by whether globalization continues to reward the sectors that originally justified trade openness. Conventional winner-loser theories are powerful for explaining the politics of opening up and adjustment. But they are less able to explain why backlash dramatically intensifies after liberalization matures. The answer, I have suggested, lies in the breakdown of the trade bargain and the promise of comparative advantage.

When free trade appears to undermine incumbent advantage sectors, policymakers no longer interpret it as a bargain with manageable costs. They reinterpret it as unfair, harmful to national development, and politically unsustainable. The result is not merely stronger opposition from traditional losers. It is a broader erosion of elite support for openness itself.

This argument has three implications. First, it shifts the focus of trade politics from the distributive consequences of opening up to the foundation, bargain, and political sustainability of openness over time. Second, it shows that elite cue is itself endogenous to structural changes in the world economy. Elites do not simply transmit attitudes; they revise their own beliefs when the sectors that had legitimized openness appear threatened. Third, it suggests that contemporary anti-globalization politics are not well understood as a delayed reaction to import competition alone. They reflect a deeper crisis in the foundational assumptions that once made liberalization politically feasible.

The broader implication is not that trade is always undesirable, nor that liberalization is always politically doomed. It is that the political durability of openness is conditional.

Where globalization continues to deliver promised gains in the sectors expected to anchor national prosperity, pro-trade coalitions (including, particularly, top elites) can endure. In that sense, current anti-globalization politics are neither easy to fix nor doomed. They suggest a perceived failure of the bargain at the core of globalization that remains to be resolved.

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A A Simple Model of Advantage-Sector Loss

This appendix provides a simple economic framework for the argument in the main text. The purpose is to clarify why the loss of an established advantage sector can reduce national welfare, particularly when no comparably valuable new advantage emerges. The model distinguishes three stages: an initial trade equilibrium, a foreign productivity shock, and long-run adjustment.

Setup

Consider a home country that produces and consumes two goods, 1 and 2. Good 1 is initially the country's comparative-advantage sector. Let aggregate consumption be C_1 and C_2, and assume representative aggregate preferences of the Cobb–Douglas form:

$$U(C_1, C_2) = C_1^{\alpha} C_2^{1-\alpha}, \qquad 0 < \alpha < 1. \tag{1}$$

An indifference curve associated with utility level $\bar{U}$ is therefore

$$C_2 = \left(\frac{\bar{U}}{C_1^{\alpha}} \right)^{\frac{1}{1-\alpha}}. \tag{2}$$

Production uses a fixed labor endowment L. Let A_1 and A_2 denote labor productivity in the two sectors. A simple Ricardian production possibility frontier (PPF) is

$$\frac{Q_1}{A_1} + \frac{Q_2}{A_2} \leq L, \tag{3}$$

where Q_i denotes domestic production of good i. Under autarky, consumption must equal production:

$$C_i = Q_i. \tag{4}$$

With international trade, consumption need not coincide with production. Let p_1 and

p_2 denote world prices. The value of domestic production is

$$Y = p_1 Q_1 + p_2 Q_2. \tag{5}$$

The country's consumption possibilities are consequently described by the trade budget constraint

$$p_1 C_1 + p_2 C_2 \leq p_1 Q_1 + p_2 Q_2 = Y. \tag{6}$$

Equivalently,

$$C_2 = \frac{Y}{p_2} - \frac{p_1}{p_2} C_1. \tag{7}$$

The slope of the trade budget line is therefore $-p_1/p_2$. Consumers choose the highest attainable indifference curve, implying at an interior consumption optimum

$$MRS_{12} = \frac{\alpha}{1-\alpha}\frac{C_2}{C_1} = \frac{p_1}{p_2}. \tag{8}$$

Initial Trade Equilibrium

Suppose the home country initially possesses comparative advantage in good 1. Relative to autarky, trade induces the country to specialize more heavily in good 1 and exchange some of its production for good 2.

Let $Q^{T1} = (Q_1^{T1}, Q_2^{T1})$ denote the initial production point and $C^{T1} = (C_1^{T1}, C_2^{T1})$ the corresponding consumption point. Because trade separates production from consumption, C^{T1} can lie outside the domestic PPF even though the value of consumption cannot exceed the value of production:

$$p_1 C_1^{T1} + p_2 C_2^{T1} = p_1 Q_1^{T1} + p_2 Q_2^{T1}. \tag{9}$$

The country consequently reaches utility

$$U^{T1} = U(C_1^{T1}, C_2^{T1}), \tag{10}$$

which exceeds the utility attainable under autarky when the standard gains-from-trade conditions hold.

This is the benchmark underlying the expectation of mutually beneficial specialization: the country concentrates production in activities in which it possesses an advantage and uses international exchange to obtain a consumption bundle unavailable under autarky.

A Foreign Productivity Shock

Now consider a productivity improvement abroad concentrated in good 1, the sector in which the home country initially possesses comparative advantage. Let foreign productivity in this sector increase from A_1^* to $\widetilde{A}_1^* > A_1^*$.

The productivity shock expands foreign supply of good 1 and, under standard conditions, reduces its relative world price:

$$\frac{\widetilde{p}_1}{\widetilde{p}_2} < \frac{p_1}{p_2}. \tag{11}$$

Because good 1 is the home country's initial export and advantage sector, equation (11) represents a deterioration in the home country's terms of trade.

Suppose first that domestic production cannot adjust immediately, so that

$$Q^{T2} = Q^{T1}. \tag{12}$$

The value of this production after the shock becomes

$$Y^{T2} = \widetilde{p}_1 Q_1^{T1} + \widetilde{p}_2 Q_2^{T1}. \tag{13}$$

Since the country initially specializes disproportionately in good 1, the fall in its relative price reduces the purchasing power of domestic production over imports. The consumption

budget line changes accordingly:

$$\widetilde{p}_1 C_1 + \widetilde{p}_2 C_2 \leq Y^{T2}. \tag{14}$$

The country therefore reaches a new consumption point C^{T2} and utility level

$$U^{T2} = U(C_1^{T2}, C_2^{T2}). \tag{15}$$

The short-run welfare effect can be summarized as follows.

Proposition 1. *A foreign productivity improvement concentrated in the home country's export sector can reduce home welfare by deteriorating its terms of trade. The welfare loss is larger, all else equal, the more heavily home production is initially concentrated in that sector.*

The intuition is straightforward. The productivity shock does not need to destroy the home country's physical productive capacity. Instead, it reduces the value of its existing productive capabilities at world prices. A country whose production is concentrated in the affected sector therefore obtains fewer imports for a given quantity of exports.

Long-Run Adjustment and the Loss of Advantage

In the long run, production can adjust to the new world prices. Let the post-adjustment production point be

$$Q^{T3} = (Q_1^{T3}, Q_2^{T3}), \tag{16}$$

where the contraction of the former advantage sector implies

$$Q_1^{T3} < Q_1^{T1}. \tag{17}$$

The important question is whether the economy develops a sufficiently valuable alterna-

tive specialization. Standard trade logic permits this possibility: resources released from the declining sector can move toward other activities, potentially generating a new comparative advantage.

The argument in the main text concerns the case in which this replacement is incomplete. When trading partners swiftly erode advantageous sectors through interventions, one is likely given too short a time to generate new advantage sectors. Define the maximum value of domestic production at world prices as

$$V(p_1, p_2) = \max_{(Q_1,Q_2)\in \boldsymbol{Q}} \{p_1 Q_1 + p_2 Q_2\}, \tag{18}$$

where $\boldsymbol{Q}$ is the country's production possibility set.

After the foreign productivity shock, the country's maximum attainable production value is

$$V(\widetilde{p}_1, \widetilde{p}_2) = \widetilde{p}_1 Q_1^{T3} + \widetilde{p}_2 Q_2^{T3}. \tag{19}$$

If adjustment into other sectors does not compensate for the decline in the value of the former advantage sector, then, measured in units of the import good,

$$\frac{V(\widetilde{p}_1, \widetilde{p}_2)}{\widetilde{p}_2} < \frac{V(p_1, p_2)}{p_2}. \tag{20}$$

The country's attainable consumption set is consequently less favorable than before the shock, and the highest attainable utility level can fall:

$$U^{T3} < U^{T1}. \tag{21}$$

This yields the central result.

Proposition 2. *The welfare consequences of losing a comparative-advantage sector depend on the economy's ability to generate compensating advantages elsewhere. If the decline in the value of the established advantage sector is not offset by sufficiently valuable alternative*

production, the foreign productivity shock produces a persistent reduction in real income and welfare relative to the pre-shock trade equilibrium.

Importantly, Proposition 2 does not imply that losing comparative advantage necessarily makes trade welfare-reducing, nor does it require the physical PPF to contract. The result instead concerns the value of the country's productive capabilities at prevailing world prices. If the relative price of the country's established advantage good falls substantially and no comparably valuable new specialization emerges, its feasible consumption opportunities can remain below their previous level even after production has adjusted.

Expectation Mismatch

The model clarifies the distinction between the conventional expectation generated by comparative advantage and the political problem examined in the paper.

At the initial equilibrium, globalization offers a straightforward bargain:

$$\text{specialization} \rightarrow \text{higher efficiency} \rightarrow \text{greater consumption possibilities} \rightarrow \text{higher welfare.} \tag{22}$$

This logic does not, however, imply that the identity of advantage sectors is fixed. Foreign productivity growth can erode an established advantage. Nor does comparative advantage guarantee that a country losing one high-value specialization will automatically acquire an equally valuable replacement.

The politically consequential trajectory is therefore:

$$\begin{aligned} &\text{established domestic advantage} \\ &\quad \rightarrow \text{foreign catch-up in the same sector} \\ &\quad \rightarrow \text{deteriorating terms of trade and domestic contraction} \\ &\quad \rightarrow \text{no commensurate new advantage.} \end{aligned} \tag{23}$$

Under these conditions, the realized trajectory of globalization can diverge from the prior expectation that specialization will continuously reallocate economic activity toward mutually beneficial uses. The relevant political response need not therefore arise simply from import competition in disadvantaged sectors. It can arise from the perceived failure of globalization to preserve or replace activities in which the country expected its productive strengths to be rewarded.

This distinction motivates the paper's focus on *expectation mismatch*: political dissatisfaction can emerge when policymakers observe persistent losses in sectors understood as national strengths without corresponding gains in new advantage sectors. The economic model does not itself determine the political response. Rather, it establishes the economic conditions under which such a mismatch between expected and realized specialization can arise.

B Empirical Results

B.1 Descriptive Information

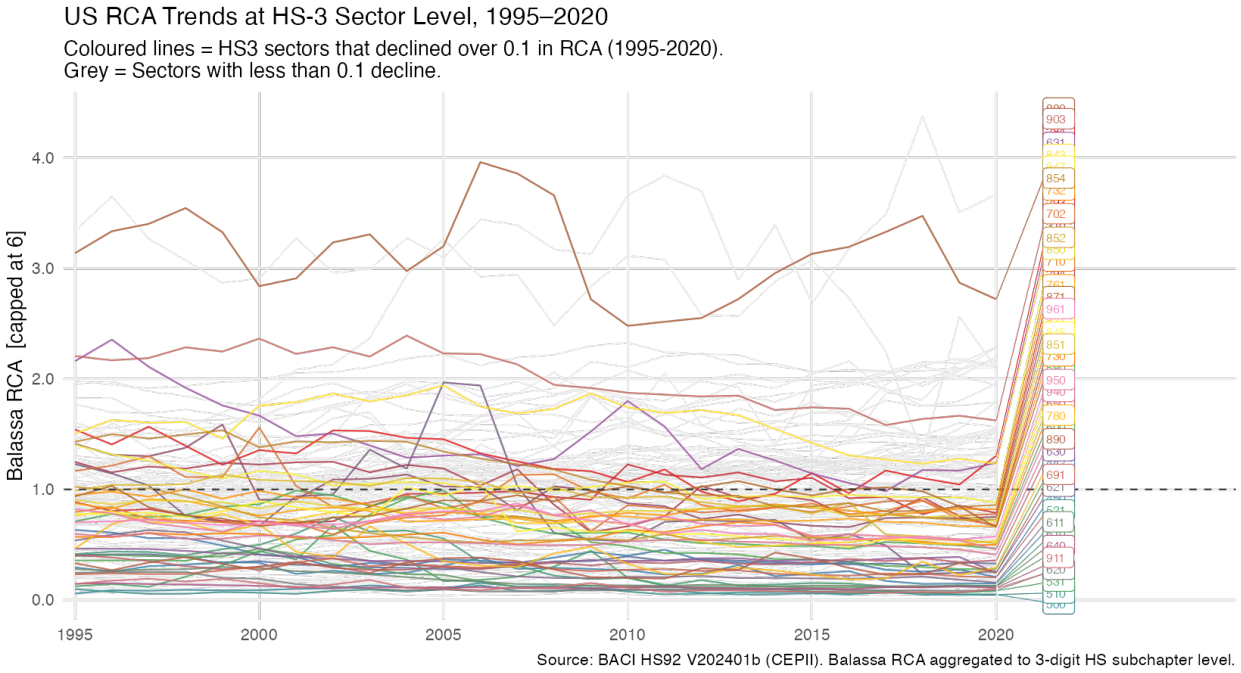


Figure 7: U.S. RCA Trends at HS-3 Sector Level (merged from HS-4), 1995-2020. *Note:* Most declining sectors are U.S. disadvantage sectors, with declines concentrated in 2000-2007 during the first China shock.

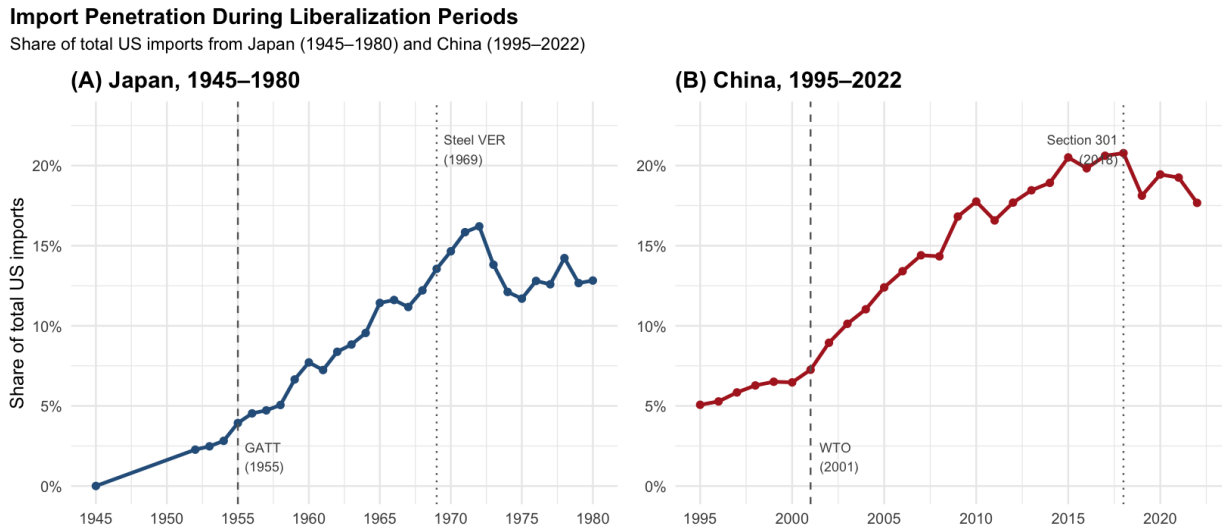


Figure 8: Import Penetration During Liberalization Periods. *Note:* Panels show each country's share of total U.S. imports during its respective liberalization episode: Japan, 1945–1980 (left; Correlates of War Trade Dataset v4.0), and China, 1995–2022 (right; BACI).

B.2 Robustness: Sensitivity Analysis

I conduct a sensitivity analysis following Cinelli and Hazlett (2020), applied directly to the baseline specification. Because the specification already includes both the StableCA and MIC2025 main effects alongside their interaction, a confounder correlated with either category alone contributes little to the residual variance of the interaction term itself; to threaten the estimate, an omitted confounder would need to correlate specifically with the intersection of the two. The Robustness Value at $q = 1$ is 9.24%: such a confounder would need to explain at least 9.24% of the residual variance in both this interaction and the outcome to fully explain away the estimated effect. Structural or compositional covariates – import penetration, log employment, intermediate-good status, log value-added – hold up considerably better, in the 9 to 193 times range (Table 7).

B.3 Robustness: Matching and CBPS Weighting

The LPM specification assumes a linear functional form for the StableCA×MIC2025 interaction. To relax this, I use two matching methods: nearest-neighbor propensity-score matching

Table 7: Sensitivity to Unobserved Confounding: MIC2025-Interacted Benchmarks

Benchmark covariate × MIC2025	Confounder strength needed to fully explain away effect
Consumer good	9.0×
Log value-added	21.0×
Intermediate good	37.0×
Log employment	130.0×
Import penetration	193.0×

Note: Each benchmark covariate is interacted with MIC2025 status, one at a time, in its own minimal single-interaction model (all other controls left plain), so the benchmark shares the treatment's own structure.

(exact-matched on HS-2 chapter) and covariate-balancing propensity score (CBPS) weighting (Imai and Ratkovic 2014), each estimating the effect of stable comparative advantage on Section 301 targeting separately within and outside MIC2025 sectors – a matching-based analog to the LPM interaction that does not impose linearity. Both methods find the same pattern: a substantially larger effect of stable comparative advantage within MIC2025 sectors than outside them. Nearest-neighbor matching gives an ATT of 0.111 (p = 0.006) within MIC2025 versus 0.013 (p = 0.424, not significant) outside it; CBPS weighting gives an ATE of 0.090 (p = 0.034) within MIC2025 versus 0.014 (p = 0.137, not significant) outside it. Both differences are close to the LPM interaction's own estimate (0.147), and in both cases the effect is significant only within MIC2025 sectors, not outside them – evidence the interaction is not an artifact of the LPM's linear functional form.

Table 8: Robustness: Matching and CBPS Weighting

Method	Within MIC2025	Outside MIC2025	Difference
Nearest-neighbor matching (ATT)	0.111 (0.041)	0.013 (0.017)	0.098
CBPS weighting (ATE)	0.090 (0.042)	0.014 (0.009)	0.076
Double ML – lasso7 , 5-fold CV (ATE)	0.070 (0.031)	0.005 (0.007)	0.065

Note: Row 1: nearest-neighbor propensity-score matching (exact-matched on HS2 chapter), average treatment effect on the treated. Row 2: CBPS balance-constrained weighting, average treatment effect. Row 3: Double ML (Chernozhukov et al. 2018), 5-fold cross-fitted lasso nuisance functions, estimated within MIC2025 only. HC1 robust SEs in parentheses.

B.4 Randomization Inference: Permutation

A natural concern with the interaction estimate in main results is that either component of the interaction – the eight-chapter MIC2025 list or the durable comparative-advantage (StableCA) classification – could be an artifact of how those categories happen to be constructed, rather than evidence of a systematic relationship between comparative advantage and Section 301 targeting. We address this with three randomization-inference tests, each holding one component of the interaction fixed at its true, observed value while redrawing the other from its null distribution 2,000 times, re-estimating the StableCA $\times$ MIC2025 interaction coefficient on every redraw, and locating the true coefficient (0.147) within the resulting empirical null distribution.

The first test holds the true StableCA classification fixed and, on each draw, replaces the eight true MIC2025 chapters with a random eight-chapter subset of the 68 eligible HS-2 chapters. The second test holds the true MIC2025 list fixed and instead redraws which same-sized subset of HS-6 products is labeled StableCA. The third test randomizes both simultaneously and independently. Figure 9 plots the three resulting null distributions, with the true coefficient marked as a vertical red line; Table 9 reports the corresponding percentile and one- and two-sided p-values.

The results are asymmetric in an informative way. Randomizing *only* the MIC2025 list (holding the real StableCA classification fixed) places the true coefficient at the 89.4th percentile of the null distribution — an elevated but not conventionally significant position (two-sided $p = 0.316$). In other words, given the true set of durable comparative-advantage products, an arbitrary random eight-chapter list is not statistically distinguishable from the real MIC2025 list in how strongly it interacts with StableCA to predict targeting. By contrast, randomizing *only* the StableCA classification (holding the real MIC2025 list fixed) places the true coefficient beyond the entire null distribution (two-sided $p < 0.001$; 0 of 2,000 draws produced a coefficient as large), and randomizing both simultaneously yields the same conclusion (two-sided $p = 0.001$).

Read together, these tests indicate that the interaction is driven specifically by *which products* possess durable comparative advantage, not by the particular choice of MIC2025 chapters. A random StableCA subset essentially never reproduces the observed relationship, while a random MIC2025-style list, conditional on the real StableCA classification, plausibly could. This is consistent with the paper's core claim — that durable comparative advantage, not sector labeling per se, is the relevant predictor of targeting — while flagging that the MIC2025 boundary itself should be interpreted as one reasonable operationalization of "strategic sector" rather than as a uniquely pinned-down list.

Table 9: Randomization Inference: StableCA × MIC2025 Interaction

Test	Percentile of true coef.	One-sided p	Two-sided p
Randomize MIC2025 only	89.4%	0.1060	0.3155
Randomize durable CA only	100.0%	0.0000	0.0000
Randomize both jointly	99.9%	0.0010	0.0010

Note: True coefficient = 0.147. 2,000 draws per test. "Randomize MIC2025 only" redraws a random 8-chapter subset of the 68 eligible HS2 chapters as a fake MIC2025 list, holding the real stable_adv classification fixed. "Randomize durable CA only" redraws a random same-sized subset of products as fake stable_adv, holding the real MIC2025 list fixed. "Randomize both jointly" redraws both independently. Percentile is the true coefficient's position in each test's null distribution.

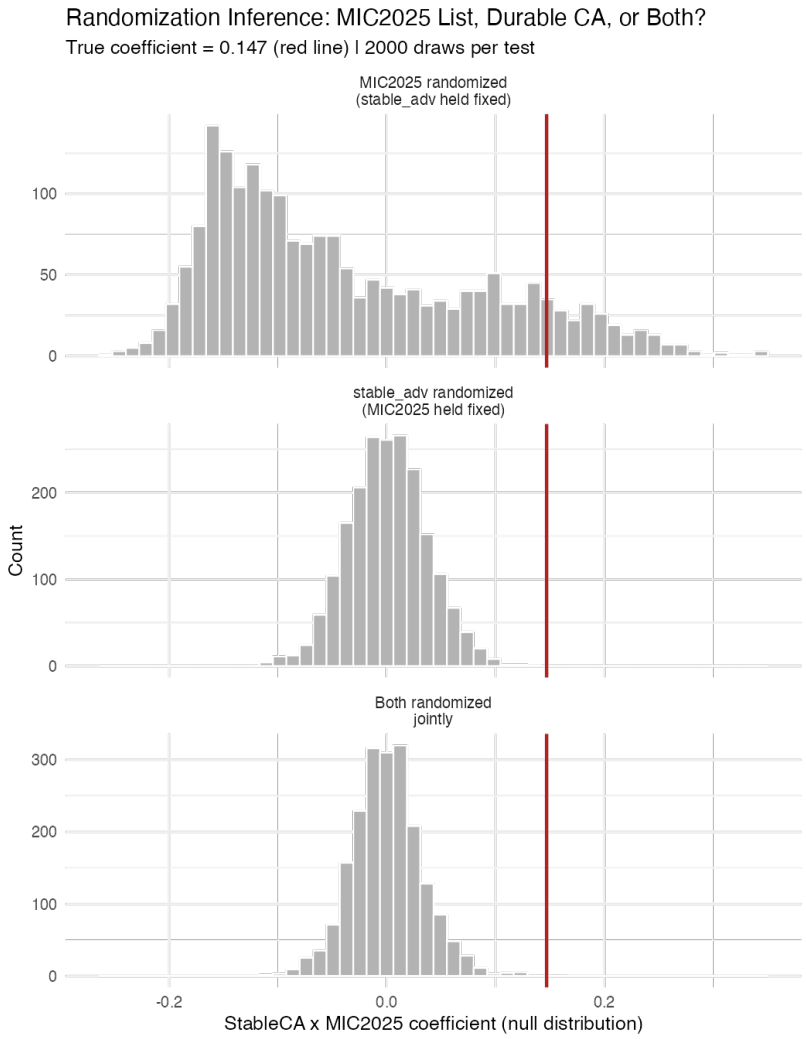


Figure 9: Null Distributions from Randomization Inference. *Note:* Each panel shows the empirical null distribution of the StableCA × MIC2025 coefficient over 2,000 draws, holding one or both components fixed at their true values as described in the text. The vertical red line marks the true, observed coefficient (0.147).

B.5 Robustness: Bilateral Trade Deficit

A further concern is that Section 301 targeting tracked the US-China bilateral trade deficit – which the policy was partly framed around addressing – rather than comparative advantage itself. To test this, I add the raw US-China trade deficit at HS-6 (2001-2007 average, China's exports to the US minus US exports to China) to the baseline specification. Included as a plain control, it leaves the interaction essentially unchanged: the comparative-advantage

effect is not simply a proxy for deficit-heavy sectors (Table 10).

A stricter test interacts the deficit with MIC2025 as a competing term, so both interactions draw on the same MIC2025-specific variation in the same regression. StableCA×MIC2025 remains significant, while deficit×MIC2025 is itself significant but carries the opposite sign from what a deficit-driven-targeting story would predict – within MIC2025 sectors, a larger bilateral deficit is associated with lower, not higher, targeting probability. The bilateral-deficit story does not cleanly substitute for comparative advantage, and its unexpected sign argues against it as the true driver of targeting.

Table 10: US-China Bilateral Trade Deficit

	(1) Baseline	(2) +Deficit	(3) +MIC2025 Int.	(4) +Deficit (%)	(5) +MIC2025 Int.
Stable CA	-0.010	-0.032**	-0.006	-0.012	-0.010
	(0.013)	(0.013)	(0.013)	(0.013)	(0.013)
MIC 2025	0.286***	0.290***	0.346***	0.287***	0.292***
	(0.021)	(0.021)	(0.023)	(0.021)	(0.021)
Stable CA × MIC 2025	0.147***	0.149***	0.098***	0.143***	0.140***
	(0.033)	(0.033)	(0.033)	(0.033)	(0.033)
US-China trade deficit		-0.006***	-0.001		
		(0.001)	(0.001)		
Trade deficit × MIC 2025			-0.013***		
			(0.002)		
US-China trade deficit (%)				-0.001**	0.000
				(0.000)	(0.000)
Deficit (%) × MIC 2025					-0.001**
					(0.001)
Log US export value	0.005	0.019***	0.013***	0.006*	0.005
	(0.004)	(0.004)	(0.004)	(0.004)	(0.004)
Import penetration	-0.021	-0.004	-0.019	-0.001	-0.026
	(0.050)	(0.042)	(0.041)	(0.048)	(0.051)
Log value-added	-0.036***	-0.047***	-0.037***	-0.035***	-0.034***
	(0.007)	(0.007)	(0.007)	(0.007)	(0.007)
Log employment	0.061***	0.077***	0.059***	0.060***	0.059***
	(0.010)	(0.010)	(0.010)	(0.010)	(0.010)
China import share	-0.210***	-0.080***	-0.111***	-0.195***	-0.209***
	(0.029)	(0.030)	(0.029)	(0.030)	(0.030)
China RCA	-0.003	-0.001	-0.002	-0.002	-0.002
	(0.003)	(0.003)	(0.003)	(0.003)	(0.003)
Log US-China exports	0.025***	0.012***	0.017***	0.025***	0.025***
	(0.003)	(0.003)	(0.003)	(0.003)	(0.003)
Intermediate good	-0.186***	-0.175***	-0.144***	-0.189***	-0.187***
	(0.023)	(0.023)	(0.024)	(0.023)	(0.023)
Consumer good	-0.220***	-0.209***	-0.193***	-0.222***	-0.222***
	(0.024)	(0.024)	(0.024)	(0.024)	(0.024)
Observations	4,023	4,023	4,023	4,023	4,023
R^2	0.435	0.445	0.460	0.436	0.437

Notes: HC1 robust standard errors in parentheses. $^{*}p < 0.1$, $^{**}p < 0.05$, $^{***}p < 0.01$.

B.6 Robustness: Value-Added and Total Factor Productivity

A competing explanation regarding the main result is that "comparative advantage" merely proxies for sectors where the United States is generally more productive or higher value-added, rather than capturing a distinct comparative-advantage-defense logic. But compar-

ative advantage cannot be reduced to high-value-added industries: the United States, for example, ceded commercial shipbuilding and much semiconductor manufacturing despite both being relatively high-value activities.

I add five-factor total factor productivity (TFP) from the NBER-CES Manufacturing Industry Database, averaged over 2001-2007 and matched to HS-6 products via an HS-6-to-NAICS-4 concordance, along with HS2 fixed effects, to the baseline specification. The TFP check is suggestive since the data is limited to the NAICS-4 level. The interaction effect is essentially unchanged (0.200 vs. 0.147 at baseline, both $p < 0.001$). TFP is then interacted with MIC2025 status directly, so the two interactions compete for the same MIC2025-specific variation in the same regression: the StableCA×MIC2025 term remains significant (0.200, $p < 0.001$), while the TFP×MIC2025 term is not (0.192, $p = 0.44$).

Table 11: Comparative Advantage vs. Productivity: TFP Robustness

	(1) Baseline	(2) +TFP, HS2 FE	(3) +TFP×MIC2025
StableCA × MIC2025	0.147***	0.200***	0.200***
	(0.000)	(0.000)	(0.000)
TFP × MIC2025	—	—	0.192
			(0.444)
Controls	Yes	Yes	Yes
Value-added, employment controls	Yes	Yes	Yes
TFP control	No	Yes	Yes
HS2 fixed effects	No	Yes	Yes

Note: Dependent variable is Section 301 List 1/2 targeting. p-values in parentheses. $^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.

B.7 Technological Sophistication

A natural concern is that the *Stable CA × MIC 2025* interaction does not capture comparative advantage at all, but instead reflects the more mundane fact that MIC 2025 chapters encompass technologically sophisticated industries, and sophisticated industries attract disproportionate political attention regardless of whether the United States holds a comparative advantage in them. On this reading, the result would not distinguish a comparative-

advantage mechanism from a pure industry-sophistication mechanism.

To evaluate this alternative, I construct three independent measures of product sophistication at the HS-6 level and augment the baseline specification with each in turn. The first is PRODY (Hausmann et al. 2007), the export-basket income content of a product: a production-weighted average of exporting countries' GDP per capita, where the weight for country i in product k is $(x_{ik}/X_i)\,/\,\sum_j (x_{jk}/X_j)$ and Y_i is constant-2015-USD GDP per capita from the World Bank; a high PRODY value means a product is disproportionately exported by rich countries. The second is the *Product Complexity Index* (PCI) of Hidalgo and Hausmann (2009), derived from the eigenvector of the country–product RCA matrix; it captures structural sophistication in terms of the breadth of capabilities a product requires, with high-PCI products being those that only a handful of highly diversified countries can make. The third is manufacturing *skill intensity*, defined as the non-production-worker wage share (payroll minus production-worker wages, divided by total payroll) from the NBER-CES Manufacturing Industry Database (Becker et al. 2021), crosswalked from NAICS-4 to HS-6 via the Liao et al. (2020) concordance and weighted by value of shipments where multiple NAICS codes map to the same HS-6 product. All three measures are standardized to zero mean and unit variance. Both PRODY and PCI are estimated from BACI trade data (Gaulier and Zignago 2010b) averaged over 2000–2010; skill intensity is averaged over 1995–2010.

Crucially, MIC 2025 chapters *are* more sophisticated on all three dimensions (standardized means: PRODY = +0.34, PCI = +0.60, skill = +0.65, against −0.12, −0.21, and −0.24 for non-MIC chapters), confirming that the reviewer's concern is substantively plausible, not merely hypothetical. The correlations between the MIC 2025 indicator and the three measures are 0.20, 0.35, and 0.40 respectively. The question is whether controlling for sophistication absorbs the comparative-advantage interaction.

Table 12 reports the results. Column (1) reproduces the baseline (Table 1, column 6). Columns (2)–(4) add one sophistication measure at a time, each entered both as a main effect and interacted with the *MIC 2025* indicator to allow the effect of sophistication to differ

across the MIC 2025 boundary—the most direct way to absorb the alternative mechanism. Column (5) enters all three measures simultaneously. Across all five specifications, the *Stable CA* × *MIC 2025* coefficient remains positive, stable in magnitude (range: 0.134–0.161), and highly significant ($p < 0.01$); it never attenuates by more than 9 percent relative to the baseline estimate of 0.147. The three sophistication interactions themselves are mixed: the PCI × MIC 2025 interaction is positive and significant (columns 3 and 5), consistent with more-complex products in MIC 2025 chapters being more frequently targeted, but this effect is additive to—not a substitute for—the comparative-advantage interaction. The skill intensity × MIC 2025 interaction is negative (columns 4 and 5), suggesting that within MIC 2025 chapters, targeting was not concentrated in the most skill-intensive products, which is difficult to reconcile with a pure sophistication story. The results collectively indicate that the *Stable CA* × *MIC 2025* pattern is not an artifact of industry sophistication.

Table 12: Robustness: Technological Sophistication Controls

	(1) Baseline	(2) +PRODY	(3) +PCI	(4) +Skill	(5) +All three
Stable CA	−0.0099	−0.0084	−0.0018	−0.0151	−0.0066
	(0.0156)	(0.0156)	(0.0155)	(0.0162)	(0.0163)
MIC 2025	0.2860***	0.2784***	0.2355***	0.2969***	0.2521***
	(0.0404)	(0.0403)	(0.0408)	(0.0438)	(0.0432)
Stable CA × MIC 2025	0.1470***	0.1446***	0.1335***	0.1613***	0.1469***
	(0.0397)	(0.0398)	(0.0401)	(0.0380)	(0.0387)
PRODY (z)		−0.0029			−0.0016
		(0.0060)			(0.0055)
PRODY × MIC 2025		0.0301			0.0025
		(0.0254)			(0.0288)
PCI (z)			−0.0049		−0.0086
			(0.0083)		(0.0081)
PCI × MIC 2025			0.0963***		0.0921***
			(0.0298)		(0.0341)
Skill intensity (z)				0.0317***	0.0314***
				(0.0087)	(0.0082)
Skill × MIC 2025				−0.0566**	−0.0614**
				(0.0288)	(0.0287)
Full controls	Yes	Yes	Yes	Yes	Yes
HS-2 FE	Yes	Yes	Yes	Yes	Yes
N	4023	4023	4023	3765	3765
R^2	0.435	0.436	0.443	0.456	0.463

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$
LPM (feols), SEs clustered by HS-4 heading. Outcome: indicator for Section 301 List 1 or List 2 targeting. All columns include the full baseline control set from Table 1, col. (6): log US export value, import penetration, China import share, China RCA, log US–China exports, intermediate-good and consumer-good indicators, log value-added, log employment, and HS-2 chapter fixed effects. Tech intensity measures are standardized (z-scores). PRODY and PCI computed from BACI 2000–2010; skill intensity from NBER-CES 1995–2010 crosswalked to HS-6 via NAICS-4.

B.8 Security Test: Four Lists

Because Section 301 tariffs may reflect security motives rather than comparative advantage, I test whether the main interaction is driven by security-related products.

First, I use the European Commission's dual-use correlation table (13 April 2021 edition)

(European Commission 2026), which links 10-digit EU customs codes to the control codes in Annex I of the EU dual-use regulation, and convert its codes to HS6 through an HS concordance (704 products). The USML and CCL mappings are our own coding rules based on product descriptions, since no official crosswalk to HS6 exists.

I link HS6 products to four U.S. government lists. For the U.S. Munitions List (USML; 22 C.F.R. § 121.1), I read each HS6 product description against the 2017 USML categories and flag products for weapons, firearms, ammunition, military goods, and nuclear materials (21 products). For the Commerce Control List (CCL; 15 C.F.R. Part 774, Supp. No. 1), I flag products whose description corresponds to an item type named in a 2017 CCL entry, such as sporting shotguns and sights, detonators, aircraft and engines, machine tools, and controlled electronics and telecommunications equipment (155 products). For the U.S. Geological Survey (USGS) 2022 List of Critical Minerals, we match each listed mineral by name to the HS four-digit headings that cover it and flag every HS6 product in those headings (68 products). For the Critical Manufacturing Sector of the Cybersecurity and Infrastructure Security Agency (CISA), we take its industries (NAICS 331, 333, 335, and 336) and convert them to HS6 through the NAICS-to-HS concordance (1,259 products).

Table 13 re-estimates the main specification after dropping the products tied to each list, then all four together, and, in the last column, keeps all products and adds an indicator for membership in any list. The interaction between stable comparative advantage and MIC2025 remains positive and similar in size across all specifications. These results indicate that security-related products do not account for the relationship between comparative advantage and Section 301 targeting.

Table 13: Robustness to Security-Related Product Lists

	(1) Baseline	(2) Drop EU	(3) Drop USML	(4) Drop CCL	(5) Drop USGS	(6) Drop CISA	(7) Drop all four	(8) Control: any list
Stable CA × MIC2025	0.147***	0.104**	0.147***	0.132***	0.145***	0.130**	0.111*	0.147***
	(0.040)	(0.047)	(0.040)	(0.042)	(0.040)	(0.063)	(0.067)	(0.040)
Stable CA	-0.010	-0.014	-0.010	-0.011	-0.008	0.006	0.006	-0.010
	(0.016)	(0.015)	(0.016)	(0.015)	(0.016)	(0.017)	(0.017)	(0.016)
MIC2025	0.286***	0.213***	0.281***	0.263***	0.285***	0.241***	0.183***	0.286***
	(0.040)	(0.040)	(0.041)	(0.040)	(0.040)	(0.070)	(0.063)	(0.041)
Four list dummy								0.0004
								(0.023)
Log trade size	0.005	0.004	0.006	0.006	0.005	0.001	0.002	0.005
	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.004)	(0.004)	(0.005)
Import penetration	-0.021	-0.208*	-0.021	-0.025	-0.021	-0.092	-0.132	-0.021
	(0.057)	(0.110)	(0.057)	(0.110)	(0.057)	(0.136)	(0.096)	(0.057)
China import share	-0.210***	-0.151***	-0.212***	-0.197***	-0.215***	-0.107***	-0.108***	-0.210***
	(0.042)	(0.039)	(0.042)	(0.040)	(0.043)	(0.033)	(0.031)	(0.042)
China RCA	-0.003	-0.004	-0.003	-0.0003	-0.003	-0.001	0.0005	-0.003
	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.004)	(0.004)	(0.005)
Log US exports to China	0.025***	0.020***	0.024***	0.025***	0.026***	0.023***	0.023***	0.025***
	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)
Intermediate good	-0.186***	-0.241***	-0.191***	-0.180***	-0.186***	-0.102*	-0.128**	-0.186***
	(0.040)	(0.045)	(0.041)	(0.040)	(0.040)	(0.056)	(0.053)	(0.040)
Consumer good	-0.220***	-0.258***	-0.225***	-0.212***	-0.218***	-0.143***	-0.163***	-0.220***
	(0.040)	(0.043)	(0.041)	(0.040)	(0.040)	(0.055)	(0.052)	(0.040)
Log value added	-0.036**	-0.021	-0.036**	-0.027*	-0.037**	-0.019	-0.013	-0.036**
	(0.015)	(0.014)	(0.015)	(0.015)	(0.015)	(0.014)	(0.013)	(0.015)
Log employment	0.061**	0.041*	0.061**	0.049*	0.061**	0.067**	0.063*	0.061**
	(0.025)	(0.025)	(0.026)	(0.026)	(0.026)	(0.034)	(0.034)	(0.026)
Constant	0.164	0.189**	0.164	0.112	0.175*	-0.047	-0.064	0.164
	(0.103)	(0.094)	(0.103)	(0.097)	(0.104)	(0.124)	(0.120)	(0.103)
Observations	4,023	3,325	4,002	3,868	3,956	2,805	2,699	4,023
R^2	0.435	0.367	0.435	0.396	0.434	0.286	0.236	0.435

Notes: Dependent variable: Section 301 List 1/2 targeted (linear probability model). Standard errors clustered by HS4 in parentheses. $^{*}p < 0.1$, $^{**}p < 0.05$, $^{***}p < 0.01$.

B.9 Interest-group Lobby

One may be concerned that the stable_adv × MIC2025 interaction reflects organized-interest lobbying rather than strategic competition (Table 14). We test this with two lobbying measures and one petitioning measure. First, using firm-level lobbying data from LobbyView (Kim 2018, matched via NAICS6, 2015–2017 filings): within MIC2025, stable-comparative-

advantage products are associated with significantly higher lobbying expenditure (coefficient: 1.29, $p < 0.01$), though not with a greater number of lobbying firms (0.10, not significant) — suggesting a small number of well-resourced firms, not broader organizational mobilization, drives this difference. Neither measure explains the Section 301 targeting interaction: it is essentially unchanged after controlling for lobbying expenditure interacted with MIC2025 (0.147 to 0.133, both $p < 0.001$) or lobbying firm count interacted with MIC2025 (0.147 to 0.155, both $p < 0.001$). Second, using public comments on the List 1 and List 2 Section 301 exclusion-request dockets (regulations.gov): within MIC2025 products targeted by these lists, stable-comparative- advantage products petition for exclusion significantly *less* than other targeted MIC2025 products (coefficient: -0.136, $p < 0.001$). Because a request can only be filed for an already-targeted product, this variable cannot serve as a control for targeting itself; the within-MIC2025 comparison is the relevant test. Together, these results indicate that lobbying capacity does not explain the targeting pattern, and that threatened winners—rather than organizing to escape their own tariffs—largely do not seek relief from them, consistent with these tariffs functioning as protection for firms with a comparative-advantage position rather than as an imposed cost against which they must lobby.

Table 14: Lobbying and Exclusion Petitions: Within-MIC2025 Effects and Robustness

Channel	Within-MIC2025 stable_adv effect	Targeting interaction, baseline vs. controlled
Lobbying expenditure (log $)	1.293 (0.494)**	0.147 (0.040)*** vs. 0.133 (0.040)***
Lobbying firm count (log)	0.096 (0.063)	0.147 (0.040)*** vs. 0.155 (0.039)***
Requested List 1/2 exclusion	-0.136 (0.034)***	—

Note: Column 1: coefficient on stable_adv alone, estimated within MIC2025 products (List 1/2-targeted products only, for the exclusion-request row, since requests are only defined for targeted products). Column 2: the stable_adv × MIC2025 interaction on Section 301 targeting, before and after adding the row's lobbying measure interacted with MIC2025 as a control. Rows 1–2: within MIC2025, stable-comparative-advantage products lobby significantly more by dollar expenditure but not by number of distinct firms (LobbyView, Kim 2018, NAICS6, 2015–2017); neither measure explains the targeting interaction, which survives both controls essentially unchanged. Row 3: within MIC2025 products targeted by List 1 or List 2, stable- comparative-advantage products petition for exclusion significantly *less* (regulations.gov). No survives-control column for Row 3: a request can only occur for an already-targeted product, so it cannot serve as a control for targeting without circularity. SEs clustered at HS4. $^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.

B.10 Placebo Tests

Two concerns remain about the StableCA×MIC2025 interaction: whether the same pattern would appear for U.S. policy instruments unrelated to comparative-advantage defense, and whether StableCA×MIC2025 products were already unusually protected before MIC2025 or Section 301 existed. Table 15 reports five placebo tests addressing both.

The first three test instrument specificity, using the same interaction and controls with the dependent variable replaced by a different U.S. trade or industrial policy: the Biden CHIPS Act (rebuilding *lost* comparative advantage in semiconductors), the Biden IRA clean-energy subsidies (creating *new* comparative advantage in EVs, batteries, and wind, where the U.S. had none), and the Trump Section 232 steel/aluminum tariffs (a security rationale unrelated to comparative-advantage defense; StableCA alone is tested here since its chapters are disjoint from MIC2025's). All three come back null or negative on the relevant coefficient.

The remaining two are pre-trend placebos, testing whether StableCA×MIC2025 products were already unusually protected before either MIC2025 (2015) or Section 301 (2018) existed. Column (5) uses the U.S. MFN applied tariff rate in 2016 (WITS/TRAINS, World Bank); column (6) uses an indicator for an active U.S. antidumping or countervailing duty order initiated 2009-2016 and still in force as of 2016 from the Temporary Trade Barriers Database (Bown 2016), a sharper test since AD/CVD orders are targeted, product-specific trade remedies rather than a general tariff schedule. Both interactions are null: 0.015 ($p = 0.95$) for the pre-existing MFN tariff level, and 0.009 ($p = 0.43$) for pre-existing AD/CVD status. StableCA×MIC2025 products were not already unusually protected under either measure before Section 301 – the 2018 targeting pattern is not a continuation of pre-existing U.S. trade protection toward these products.

Table 15: Instrument Specificity and Pre-Trend Placebo Tests

	CHIPS (Biden)	IRA (Biden)	Sec 232 (Trump)	Pre-2016 MFN	Pre-2016 AD/CVD
Stable CA	−0.003*	−0.003***	−0.081***	−0.106	−0.020***
	(0.002)	(0.001)	(0.009)	(0.123)	(0.007)
Stable CA × MIC 2025	0.008	0.010		0.015	0.009
	(0.010)	(0.012)		(0.229)	(0.011)
Log US export value	0.000	0.002*	0.006*	0.254***	0.011***
	(0.001)	(0.001)	(0.003)	(0.062)	(0.002)
Import penetration	0.078	0.004	−0.030	−0.425	0.018
	(0.070)	(0.025)	(0.026)	(0.423)	(0.032)
Log value-added	0.016***	−0.005	0.031***	−0.964***	0.008
	(0.004)	(0.006)	(0.007)	(0.211)	(0.010)
Log employment	0.005**	0.007	0.155***	0.696***	−0.001
	(0.003)	(0.006)	(0.011)	(0.217)	(0.011)
China import share	−0.009*	−0.007	0.264***	−2.209***	0.076***
	(0.005)	(0.009)	(0.039)	(0.699)	(0.028)
China RCA	0.002*	−0.002	−0.030***	0.456***	−0.006**
	(0.001)	(0.001)	(0.004)	(0.094)	(0.003)
Log US–China exports	0.002***	0.000	−0.005**	−0.205***	−0.003
	(0.001)	(0.001)	(0.003)	(0.049)	(0.002)
Intermediate good	0.033***	−0.049***	0.083***	−0.099	0.013
	(0.008)	(0.011)	(0.009)	(0.163)	(0.010)
Consumer good	0.021***	−0.049***	−0.015	−0.468**	−0.011
	(0.005)	(0.011)	(0.010)	(0.221)	(0.011)
N	4023	4023	4023	3712	4023
R^2	0.088	0.118	0.180	0.531	0.092
DV logic	Security	Climate	Security	Pre-2016	Pre-2016
Controls	Yes	Yes	Yes[a]	Yes	Yes
Stable CA × MIC 2025	Yes	Yes	No[b]	Yes	Yes
Chapter FE	Yes	Yes	No[a]	Yes	Yes

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

[a] Chapter FE omitted for Sec. 232 because the DV spans entire HS-2 chapters (72, 73, 76), making chapter intercepts collinear with the dependent variable.

[b] MIC 2025 interaction omitted for Sec. 232 because its chapters (72, 73, 76) are disjoint from MIC 2025 chapters (84–90, 30), so the two conditions never co-occur; Stable CA alone is tested instead.

B.11 LLM-based result: regression

Table 16 compares the 2016-and-later period against the 2001-2008, the period of lowest MIC2025 salience in the 1981-2024 sample. The unit of observation is the sector mention, and the quantity of interest is average attention across all named-sector mentions. MIC2025 indicates the ten categories on China's published list; Disadvantage indicates steel or textiles, chosen as a comparison group because both had mean 2001-2007 RCA well below one — genuine comparative disadvantage.

Subset	N	MIC2025 Δ (p)	Disadvantage Δ (p)
All speeches	1,208	$+0.077^{\dagger}$ (0.056)	-0.070^{**} (0.008)
Decline concern	683	$+0.251^{***}$ (0.0001)	-0.136^{***} (0.0004)
Security framing	233	$+0.251^{**}$ (0.002)	-0.122^{**} (0.002)
Criticizes free trade	857	$+0.148^{**}$ (0.004)	-0.073^{*} (0.049)
China mentioned	456	$+0.099^{\dagger}$ (0.072)	-0.113^{**} (0.003)
Calls for protection	947	$+0.108^{*}$ (0.022)	-0.098^{**} (0.001)

Table 16: MIC2025 and Comparative-Disadvantage Sector Share: 2016+ vs. 2001-2008. *Note:* Coefficients are the post-2015 shift in each mention's share of MIC2025 or disadvantage sectors, 2016+ vs. the 2001-2008 trough; p-values in parentheses. N = sector mentions in the two periods combined. $^{*}p < 0.05$, $^{**}p < 0.01$, $^{***}p < 0.001$.

Table 17: Top 20 Sectors by Mention Count, by Classification

Advantage		Disadvantage		Neither	
Sector	*n*	Sector	*n*	Sector	*n*
automobile	413	steel	370	agriculture	224
pharmaceuticals	97	textile	311	manufacturing	190
aerospace	93	footwear	126	agricultural	93
information technology	89	apparel	82	lumber	84
electronics	80	textile and apparel	77	oil	72
telecommunications	76	glass	27	wheat	68
semiconductors	74	furniture	22	sugar	67
computers	72	leather	15	beef	57
machine tools	69	toys	12	farmers	44
power equipment	48	bicycles	8	soybeans	41
auto parts	45			services	40
medical equipment	40			dairy	39
maritime	30			corn	29
transportation equipment	18			citrus	25
agricultural machinery	12			pork	23
supercomputers	11			potato	20
railroad	7			tobacco	20
microelectronics	5			grain	19
new materials	3			aluminum	17
satellites	2			coal	16

B.12 Additional STM results

Figure 10 shows topic proportions for the China-trade corpus binned across five periods. The composition shifts markedly: MFN status, tied to the annual most-favored-nation renewal debates and their human-rights conditionality, dominates in 1981-1991 and collapses to near zero by 2009-2015, consistent with PNTR ending the annual renewal ritual in 2000; Human rights follows the same decline. In their place, trade shocks/deindustrialization and Unfair trade/mercantilism rise from a combined quarter of topic share in 1981-1991 to over 70% by 2009-2015, remaining high through 2016-2024.

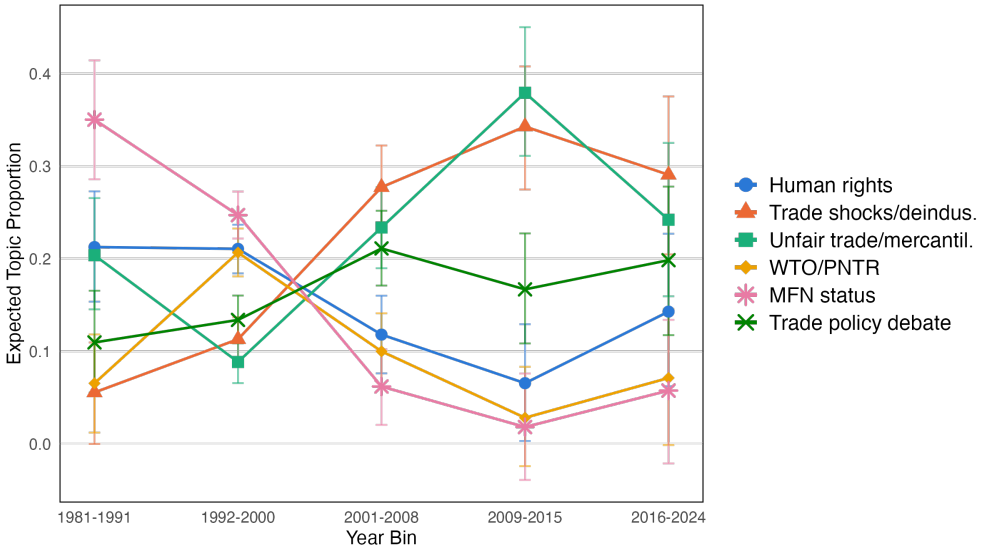


Figure 10: Trade Topic Trends: Trading with China (1981-2024).